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BETTERINVESTING MAGAZINE

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BetterInvesting *Online*

BetterInvesting members have the opportunity to expand their learning through online classes. Below is a selection of videos from the Video Learning Library on the BetterInvesting website that provide excellent learning opportunities. Be sure to visit the Video Learning Library to access over 100 webinar recordings on a variety of topics at **www.betterinvesting.org/vll**. To see a list of upcoming live webinars, like TickerTalk and StockUp, please visit our Events page at **www.betterinvesting.org/webinars**.

StockUp: Use PERT® to Perk Up Your Portfolio

From the June 16 Webinar
OnDemand Recording

To be a successful investor, you must watch the companies you own for early warning signals that problems are developing. The Portfolio Evaluation Review Technique (PERT) allows you to quickly assess the performance of all of your stocks and determine which ones need additional study. Join us for an overview of the PERT report and learn how to read and interpret the data presented in this helpful portfolio tool. Instructors: Suzi Artzberger, director of online stock tools, technology and data, BetterInvesting; and Ann Cuneaz, senior manager of education programs, BetterInvesting.

TickerTalk

From the May 26 Webinar
OnDemand Recording

Investing education in bite-size pieces is offered at every TickerTalk session. This month is all about the Stock Selection Guide® (SSG®). Topics include: Keeping the P/E in Perspective, presented by Ionnie McNeill, director, NAIC/BetterInvesting Board of Directors. Choosing a Low Price, presented by Ken Kavula, director, BetterInvesting's Mid-Michigan Chapter. The Visual Analysis Graph – Reading Between the Lines, presented by Ann Cuneaz, senior manager of education, BetterInvesting. In addition, we offer a few stock ideas that merit a closer look in **Five in Five.**

TickerTalk

From the April 28 Webinar
OnDemand Recording

Investing education in bite-size pieces is offered in every TickerTalk session to help you become a more confident, better investor. Topics: In this session, we demonstrate how to complete a Stock Selection Guide using the Stock Research Form and following the process demonstrated during the recently updated Adding Judgment Series. Alphabet (GOOG) is the company we will use as our example. In addition, we offer a few stock ideas that merit a closer look in **Five in Five.** Panelists: Ken Kavula, director, BetterInvesting's Mid-Michigan Chapter; Ann Cuneaz, senior manager of education, BetterInvesting.

Adding Judgment to the Stock Selection Guide Series: The Path to Investing Success — Let's Practice

From the April 13 Webinar
OnDemand Recording

This session provides a review and demonstrates the entire process of adding judgment to the SSG based on and supported by standard investment research. A sample SSG is completed in class following the procedures demonstrated throughout the series. Research data and an SSG Research Form are provided for the sample company. View this informal and interactive session to reinforce and practice what you learned in the previous sessions of the Adding Judgment to the SSG Series. This is class five of five in the Adding Judgment to the SSG Series. Instructors: Ken Kavula, director, BetterInvesting's Mid-Michigan Chapter; and Ann Cuneaz, senior manager of education, BetterInvesting.

The Savvy Investor Seeks Quality Stocks at a Sale Price

Opportunity Knocks in a Bear Market

The reversal of a bull market can be traumatic for investors who have watched blissfully as their portfolios swelled in value week after week, month after month. But pessimism shouldn't be the automatic response.

When share prices pivot south, as they have since the beginning of 2022, history suggests that significant gains are waiting to be realized. The proviso is to recognize and accept what seasoned market hands already know: that prices will recover, patience is vital, keeping some assets in deployable cash is prudent and playing the long game is smart. First of all, understand that a correction, defined as a 10% decline from a market peak, is normal and inevitable. Corrections tend to be frightening because markets do fall faster than they climb. Don't try to guess the bottom: It's a fool's game.

Since 1950, the S&P has corrected 39 times, a bit less than once every two years. The average correction has lasted about six months. The average length of a bull market — a prolonged upswing in prices of 20% or more — is 3.8 years; the longest bull run in history the 11-year period from 2009 to 2020. (Bear markets are characterized by a peak-to-trough drop in prices of 20% or more.)

Downturns are when stocks go on sale, so why not take advantage as you might for milk, yoga pants or a car? In other words, continue to invest even though your emotions and intuition urge you to do otherwise. Yes, others are panicking — that's what causes prices to fall so steeply. You, however, know that "dollar-cost averaging" is a way to accumulate a position in a quality company — incrementally and at a discount.

Market downturns also present an opportunity to rebalance portfolios and adjust asset allocations to reflect life changes such as retirement, new marital status, tuition needs and children. Rather than sell less desirable stocks into a steep market decline, try to hold on until prices stabilize — and then make a move. While playing offense by building positions in shares that are attractively priced, also think defense in terms of categories that do well in down markets. Companies that provide a basic necessity such as food, health care or electricity might be worth considering, provided earnings growth is strong and the balance sheet is solid.

Don't be lulled by conventional wisdom. Growth stocks — especially technology stocks — are under a cloud lately due to the likely prospect of higher interest rates.Yet research suggests that growth stocks, which depend more heavily on borrowed funds, surprisingly do better than value stocks during weak markets.

As the relevant indices fall, a decidedly different mindset is required than the one employed to take advantage of rising markets. The analytic skills for understanding a stock's fundamentals remain constant.

Don't Miss Out!

Have you subscribed to the member-exclusive BetterInvesting Weekly e-newsletter? It's free for all members and highlights many of the features included in your membership. Different stock ideas are presented weekly, including First Cut Stock Reports, the Most Active Stock List and stock screens from the Online Tools. You will find links to register for events, read investor education articles, view archived webinars in the Video Learning Library and receive tips on using the Stock Selection Guide. Sign up at **www.betterinvesting.org/my-account.**

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Performance Parameter	At 5/31/2022	5-Year Change Annualized
BetterInvesting 100 Index (BIXX)	514.56	11.37%
BetterInvesting 100 Index (BIXR — Total Return)	724.17	12.90
S&P 500 Equal-Weight Index (Total Return)	11,414.13	12.32
Vanguard Total Stock Market (CRSP U.S. Total Market)	110.51	12.55
Dow Jones Industrial Average (DJIA)	32,990.12	11.87
S&P MidCap 400 Index	2,514.80	9.56
Russell 2000 (Small-Cap Index)	1,864.04	7.70
Nasdaq Composite	12,081.39	15.34
MSCI EAFE (Europe, Australasia, Far East) Index	2,037.87	1.52
MSCI Emerging Markets Index	1,077.67	1.40
Value Line Arithmetic Composite	8,892.56	10.92
Consumer Price Index (February)	289.11	8.30

Sources: Yahoo Finance, Value Line, Bureau of Labor Statistics, MSCI, Standard & Poor's, Solactive, Google, FTSE Russell

Most Active List

Here are the companies attracting the interest of the BetterInvesting community, according to about 2,030 transactions by users of myICLUB club accounting for the trailing eight weeks ended June 2.

Company (Ticker)	Buys-Sells
1. Amazon (AMZN)	219-47
2. Apple (AAPL)	92-112
3. Alphabet (GOOG)	146-21
4. Disney (DIS)	55-81
5. Nvidia (NVDA)	101-33
6. Microsoft (MSFT)	86-32
7. PayPal (PYPL)	52-57
8. Tesla (TSLA)	87-14
9. Ford (F)	52-22
10. Netflix (NFLX)	26-45
11. Adv. Micro Devices (AMD)	43-27
12. Costco (COST)	43-24

This list is presented as a source of stock study ideas. No investment recommendation is intended.

Our thanks to ICLUBcentral for this information.

We maintain a Most Active List at BetterInvesting website's homepage, and a monthly list is published at: **www.myiclub.com**

Most Active List: Bubbling Under

Nos. 13-40 With Buy-Sell Ratio Over 2:1
Transactions for trailing eight weeks ended June 2.

Company	Ticker	Buys	Sells	Total
Visa	V	34	17	51
Home Depot	HD	36	13	49
Verizon	VZ	33	15	48
Pfizer	PFE	35	12	47
Intel	INTC	38	7	45
Walmart	WMT	33	9	42
Raytheon Tech.	RTX	34	5	39
Target	TGT	28	8	36
Micron Technology	MU	30	5	35
Berkshire Hathaway	BRK.B	28	5	33
Devon Energy	DVN	28	4	32
Lowe's	LOW	22	6	28
Caterpillar	CAT	23	4	27
Qualcomm	QCOM	20	7	27
AT&T	T	20	7	27
Procter & Gamble	PG	21	5	26
CVX	CVX	20	6	26
ChargePoint Holdings	CHPT	21	4	25
McDonald's	MCD	20	4	24
Twitter	TWTR	18	6	24
CrowdStrike Holdings	CRWD	17	6	23
Nike	NKE	17	6	23
Vertex Pharma.	VRTX	17	5	22
Taiwan Semicond.	TSM	16	6	22
Lockheed Martin	LMT	15	7	22
NextEra Energy	NEE	19	2	21
PepsiCo	PEP	19	2	21
FedEx	FDX	18	3	21

Source: myICLUB

Amazon shares, always popular among users of myICLUB software, were especially so during the eight weeks ended June 2. The stock's price was hit hard, losing more than a third of its value between the beginning of April and late May, before recovering a bit. Perhaps it was the pending 20-for-1 split of Amazon stock that interested buyers, who outnumbered sellers four to one. Perhaps the buying also reflected dollar-cost averaging to accumulate positions in one of the market's hottest names at a discount.

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Weigh Any Cost Savings Against How Long You Can Live Unconnected

Should You Repair Your Own Digital Devices?

by Natasha Gural

Even tech-savvy consumers shudder when digital devices malfunction or break; the immediate dread of being disconnected, losing work time and facing a hefty repair or replacement bill is daunting. Few folks live offline, and heavy reliance on handheld and mobile devices, as well as laptops, is essential to our existence.

Major tech companies have yet to create devices that are designed to be taken apart and repaired without hassle, but they're quickly widening the range of self-repair programs that could save you money. Depending on the type of repair, and your level of patience and expertise, choosing a do-it-yourself repair could save hundreds, even thousands, of dollars when you factor in lost work time because of the potentially long wait for professional service.

Tech experts endorse buying factory parts directly from manufacturers when fixing your own smartphone. In April, Apple announced Self Service Repair is available for the iPhone 12, iPhone 13 and iPhone SE (3rd generation), which includes manuals and more than 200 individual parts and tools through the Apple Self Service Repair Store. Later this year, Apple plans to expand the program to include manuals, parts and tools for Mac computers.

Apple currently offers iPhone 13 self-repair kits for the battery, bottom speaker, camera, display, SIM tray and Taptic Engine (the implementation of haptic user interface feedback or how your device communicates with you via touch).

Standard out-of-warranty battery replacement costs $69 for the iPhone 13 and it's free at an Apple Store for AppleCare+ customers. You'll spend $49 to rent tools and repair parts through the self-repair program. You can buy a bundle of parts for $70.99 and Apple will refund $24.15 after you return the old battery. The DIY savings is slight and the real value comes from saving time.

An iPhone 13 bottom speaker and camera repair may fall under Apple's "other damage" category, which carries a heavy out-of-warranty repair cost of $449, or $99 for AppleCare+ customers. Self-repair for the bottom speaker costs $92.64, including the tool rental and parts and there is no rebate. Camera self-repair costs $113.54 after returning the original camera. Go to an Apple store or authorized dealer first, as costs may vary by location since Apple doesn't disclose pricing for these repairs.

Many smartphone users have cracked a display screen and the out-of-warranty repair cost for the iPhone 13 is $279, while AppleCare+ customers pay $29. Leave this quick job to professionals, because the self-repair costs $285.35 after returning the original display and you must contact Apple to perform a System Configuration.

Apple also keeps secret the charge for Taptic Engine repair, which may fall under "other damage." Again, out-of-warranty repair is likely to be $449, or $99 if you have AppleCare+. Self-repair for an iPhone 13 costs $92.64. Replacing a lost or damaged SIM tray is an easy, cheap DIY job. The replacement tray costs $7.20 and a SIM-eject tool is $4.

Samsung Electronics America announced on March 31 that it will begin this summer offering genuine device parts, repair tools and repair guides for the Galaxy S20 and S21 and Galaxy Tab S7+. Google announced in April that genuine Pixel spare parts will be available for purchase at ifixit.com for Pixel 2 through Pixel 6 Pro, as well as future Pixel models later this year. Compare prices for in- and out-warranty costs before considering self-repair for these devices.

For now, tech experts warn against repairing your own tablet or laptop. In some cases, you may opt to replace a device as it can take days until yours is fixed by a professional. The general rule is to consider replacement if the cost of repairs is one-half to two-thirds the cost of buying a new or refurbished tablet or laptop.

Even if you have experience with electrical appliances and you're confident that you can fix your computer, conduct thorough research and speak to an expert first. Wear an anti-static wrist strap when installing a new hard drive because stray zaps of static electricity can quickly destroy chips. Most laptops are powered by external transformers and use voltages of between 15 and 20 volts, which carry a slight risk of injury. But high-voltage components such as the LCD screen inverter can cause an electric shock. Consider how long it might take and whether you can live without your computer for days, even weeks. It's wise to wait a few days after you unplug the laptop and remove the battery to let stray charges leak away. The risk that you'll damage the laptop is greater than the risk of harming yourself.

If your device is under warranty and you're covered, always choose professional repair at the manufacturer's expense. Read the fine print and consider extended warranty plans, which could save hundreds or thousands of dollars. Digital DIY repairs are sure to soar, but for now the potential savings may not be worth the risks. Weigh your aptitude for DIY, while comparing self-repair, professional and replacement costs.

Due Diligence

War in Ukraine Could Continue to Drive Inflationary Pressure and Supply Shortfalls

What a New Cold War May Mean for Investors

by Thomas D. Saler

It was nice while it lasted. Since the demise of the Soviet Union in 1991, investors have enjoyed the benefits of geopolitical peace among the world's two military superpowers. That all changed when Russia invaded Ukraine. Investors will notice a difference.

Humanitarian considerations aside, the invasion could not have happened at a more inopportune time from an economic perspective, with inflation running wild in much of the Western world and COVID-19 out of control in China. The financial effects of geopolitical conflict — hot or cold — are generally inflationary in themselves and eventually weigh on growth as well through the higher interest rates needed to quell price pressures. At a minimum, slowing growth and persistently high inflation will likely stress stock and bond portfolios for much of 2022. Longer term, the unwelcome return of geopolitical conflict will impact the investment landscape in more enduring and transformative ways, including:

Loss of the peace dividend. Government spending on weapons like cruise missiles and fighter jets — while necessary for a nation's defense — nonetheless divert needed capital from potentially productivity-enhancing investments. Defense outlays also stoke inflation by injecting vast sums of money into the financial system without a commensurate supply of consumer goods. Tanks, for example, are not available on Amazon.

"For many decades, Western living standards have been boosted by a massive 'peace dividend'," notes Harvard economist Kenneth Rogoff. Near the peak of the Vietnam War in the late 1960s, U.S. defense spending amounted to 11% of gross domestic product; today that number is 3.5%. In the wake of Russia's aggression in Ukraine, Rogoff thinks that defense budgets worldwide should rise, even if it leads to less-than-ideal environmental consequences (*see Websites of Interest*). Investors can gain broad exposure to the domestic aerospace and defense industries through two exchange-traded funds, iShares' ITA and SPDR's XAR.

Energy transition. What was already a tricky sector for investors just got trickier. There remains a broad consensus that nations need to wean their economies off fossil fuels before climate change reaches a tipping point. Because Europe is dependent on Russian gas, that process could be delayed as fossil fuel production is ramped up to cover war-related shortfalls and accelerated as high oil, gas and coal prices make renewable sources more economically feasible.

Globalization. Over the 30-year period of geopolitical calm, the world economy became increasingly integrated, putting downward pressure on inflation through an expanded supply of goods and labor. Even before the Russian invasion curtailed the export of foodstuffs, however, global trade was faltering due to snarled supply chains and populist movements that protested job losses. Despite those significant setbacks, some elements of globalization seem likely to endure, according to Michael Desch, a professor of international relations at Notre Dame University's International Security Center.

To varying degrees, each of the changes to the world economy that stem from the Ukraine war are inflationary and thus represent a sizable headwind to equity or fixed-income portfolios. Consider the opposite dynamic: Over a 40-year period beginning in 1981, inflation gradually receded, allowing central banks to nudge interest rates lower, seeding economic growth and the corporate profits that propel stock prices.

In combination with the pandemic and policy mistakes in the U.S., the reemergence of an East-West divide has ended the period of disinflation, at least for the near term.

If and when it returns will depend on the Federal Reserve's skill in containing inflation and on the geopolitical alignments that emerge in the months and years to come. Buckle up for a bumpier ride.

Websites of Interest

"Is the Peace Dividend Over?" Kenneth Rogoff, Project Syndicate; March 2, 2022
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"How inflation affects the stock market," Tejvan Pettinger, Economics Help; March 10, 2022
https://bit.ly/3sF03Fx

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Book Value

Help for Parents Who Want to Nurture Self-Sufficient Young Adults

Carefully Cutting the (Financial) Cord

by Angele McQuade

Bobbi Rebell — financial journalist, podcaster and author of "How to Be a Financial Grownup" (Maven House, 2016) — returns with her second book, "Launching Financial Grownups: Live Your Richest Life by Helping Your (Almost) Adult Kids Become Everyday Money Smart." Partly inspired by the COVID-19 pandemic, when so many young adults (including one of my own) moved back home to shelter, this new book helps parents teach their young adults the skills and knowledge they'll most need for financial independence.

"Launching Financial Grownups: Live Your Richest Live by Heping Your (Almost) Adult Kids Become Everyday Money Smart," *Bobbi Rebell, Wiley (2022), hardcover ($27.95) and ebook, 208 pages.*

Adult kids are staying dependent longer in part due to the pandemic, Rebell says, but also due to benefits like staying on parents' medical insurance until age 26 and roadblocks such as higher student loan debt loads and a decrease in affordable housing. Kids and parents tend to keep in closer touch now, thanks both to technology that makes that easier and also more shared interests (like the Dungeons & Dragons campaign my husband and I play over video chat with our adult kids).

This interdependency can lead to new problems, though. "Parents are deeply concerned about their kids but also are becoming truly scared for their own financial futures," Rebell comments on what is one of her book's largest themes: creating a healthy, mutually beneficial economic separation between generations.

The table of contents echoes the structure of higher education, with sections including Prerequisites, Graduate Studies, Electives and Exmission (that final section focusing on end-of-life issues, appropriately). There's an epilogue with advice from Rebell's stepdaughter, 24, who recently bought a studio apartment using guidance from her parents but with money she earned herself.

What I liked: recognition of the awkwardness inherent in teaching young adults about money, especially if they've been raised in a financially stable home where they've never really faced economic uncertainty. "It's easier not to bring it up and risk a confrontation," Rebell admits, "especially with moody teenagers."

What I loved: the specificity of Rebell's advice, including ways to take educational opportunities online, like debit cards linked to an app versus cash in an envelope. She also gives tips on teaching how to make budgets, pay bills and taxes, set up job benefits, invest for the future, and buy and maintain big purchases like cars and homes — all the tasks of "adulting" kids must learn to become financially secure.

What makes "Launching Financial Grownups" worth buying: Rebell's focus on the need for honest, two-way conversations about the parents' own finances as part of the financial adulthood launch. She's not opposed to parents helping adult children financially — as long as that help doesn't continue for decades or impact the parents' financial security. "Without our children's independence," she cautions, "we risk our very survival."

Read "Launching Financial Grownups" if: you're worried it's too late to teach your older kids about money, or you'd welcome ideas on starting the conversation. As a mom who's launched two financial grownups over the past decade, this is a book I wish I'd had to guide me through this parenting milestone.

Websites of Interest

About Bobbie Rebell and the book

www.bobbirebell.com

Podcast: Money Tips for Financial Grownups

LinkedIn: www.linkedin.com/in/bobbirebellkaufman

■ ■ ■

Angele McQuade has been the Book Value columnist for over 20 years. She is the author of three books, including "Investment Clubs for Dummies" and BetterInvesting's upcoming new youth investing handbook. She lives near Bethesda, Maryland, where she also writes picture books and novels for children. Send her your own book recommendations through her website: angelemcquade.com.

Why Investors Should Keep an Eye on the Central Bank's Monetary Poliicies

The Fed and Your Portfolio

by Matt Mondoux, CFA, CFP, CMT

Who is "the Fed"? It's nearly impossible to read a financial publication without coming across articles about what the Fed is doing and their views on the economy. First and foremost, the Fed refers to the Central Bank of the United States (there are also 12 regional Federal Reserve Banks).

The Fed is currently chaired by Jerome "Jay" Powell. The chair is appointed by the president of the United States to serve four-year terms and can be reappointed as long as the individual is still on the Board of Governors. Board of Governor terms run 14 years and they are appointed by U.S. presidents and confirmed by the Senate. Although board members do have political affiliations, the Fed does act independently of party.

Why does the Fed exist? The Fed's origins trace back to the Federal Reserve Act of 1913. It was created to control monetary policy due to undesirably frequent banking and financial crises.

The Fed's Priorities

Congress gave the Fed the following priorities: maximizing employment, price stabilization and moderating long-term interest rates. The most often cited purpose is the Fed's dual mandate, which is maximizing employment and price stability (e.g., controlling inflation). The Fed also has expanded roles and responsibilities, most centered around regulating and working with the banking system and providing board economic commentary to the public.

How does the Fed control monetary policy? There are three main tools at the Fed's disposal: setting bank reserve requirements, setting the discount rate and most importantly, open market operations.

Banking reserve requirements (or the reserve ratio) in a nutshell are the amount of cash a bank must keep relative to the amount of deposits it holds. The lower the reserve ratio, the more a bank can lend, which can give an economy a shot in the arm.

The discount rate is effectively the rate at which a bank could borrow short-term funds from the Federal Reserve. This is offered for banks to utilize in times of economic/market stress. The lower the rate, the easier the access to liquidity for banks, which ultimately helps maintain levels of liquidity in the financial system.

The Fed Funds Rate and Consumers

The most cited tool the Fed uses is its open market operations. This tool is where setting the Fed funds rate comes in, which is the rate the banks charge each other for overnight loans.

The Fed funds rate is the foundational interest rate within the U.S. financial system. Basically, any other interest rate that is charged on deposits or loans is built off the Fed funds rate — car loans, mortgage rates and even interest paid by high yield savings accounts.

The higher the Fed funds rate, the more expensive it is to borrow. This oversight is done by buying and selling securities in the market, thereby controlling the supply of money. When the Fed sells securities from its balance sheet, it receives cash and then that cash (i.e., liquidity) is removed from the system and interest rates increase. This is contractionary monetary policy.

The opposite is also true, if the Fed buys securities, money supply is increased and interest rates are lowered. This is expansionary monetary policy. Generally, the securities bought have been U.S. Treasuries.

Investors and Monetary Policy

Financial markets generally do better in periods of expansionary monetary policy and have historically had a tougher time in periods of contractionary policy. This is where the adage "Don't fight the Fed" comes from. At the very least security selection becomes more important during periods of contractionary monetary policy.

Given the current and likely foreseeable notoriety the Fed will have, I thought a quick primer would be warranted for investors. This is a summary, the Fed does far more than what could be explained in a page.

I would recommend researching the various functions of the Fed further to get a deeper understanding of how and why monetary policy is influenced and why the Fed's mandates are so important.

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Visit www.bluechippartners.com

The IRS Has Rules on How Much Money You Can Freely Share With Others

How to Make Tax-Efficient Gifts

by Alexandra Armstrong, CFP, CRPC, and Christopher Rivers, CFP, CRPC

If you're comfortably retired and/or in a good financial position, it can be extremely rewarding to make a gift to the next generation to help them get started in their adult life or begin passing down a legacy. However as with most financial actions, there are tax rules to consider.

When talking to clients we find that the federal gift tax is one of the most misunderstood pieces of our tax structure. The federal gift tax applies to transfers of property where the donor does not receive value in return. Like the estate tax, this is a transfer tax and is completely independent of income tax. If gifts are made above certain monetary limits, you're required to file a gift tax return (Internal Revenue Service Form 709) along with your income tax return.

Wait — If I Give Away Something I May Have to Pay a Tax?

In some instances, a gift is subject to gift tax. The donor — the person giving the gift — is responsible for filing a gift tax return and paying a gift tax if necessary. Gifts you receive are not considered income, so there's no income tax due.

In 2022, the annual gift tax exclusion is $16,000 per recipient. Total gifts up to this amount are tax-free to the recipient. The limit applies per person, so a married couple can give $32,000 to their daughter with no gift tax implications.

For example, if a mother and father write separate checks to their daughter for $11,000 each, no gift tax return would be necessary and no gift tax due. If Mom writes one check (or makes one gift of stock) for $22,000, there will still be no gift tax due, but they will be required to file a gift tax return to indicate that they have made a gift that should be considered split between the two of them, thus staying below the annual $32,000 exclusion.

If the daughter is married, a total of up to $64,000 could be given tax-free, with $16,000 each going to both the daughter and her spouse from both mom and dad.

Be Careful When Making Non-Cash Gifts

When gifting an asset other than cash, the value of the gift for tax purposes is the value on the date of transfer. The most common version of this is a gift of shares of a stock or mutual fund. For common stocks and exchange-traded funds, the value of gift is the average between the high and low prices on the date the transfer is made. Mutual funds are valued at the closing price on the day of the transfer.

Typically, gifts of shares of stock are made by specifying the number of shares. For example, if you intend to gift $16,000 of stock XYZ, and the share price is $100, you would consider gifting 160 shares.

However, if on the day the gift goes through the share price opens the day at $100 per share but increases 5% to $105 per share during the day, you will be over the annual gift limit. The average price for the day will be $102.50 and your gift exceeds the annual exclusion.

When Must I File a Gift Tax Return?

Generally, a gift tax return is required in each of the following instances:

- **The total value of all gifts made to the same person** within the 2022 calendar year exceeds $16,000. (Note that this annual gift tax exclusion may increase in the future with inflation.)
- **Your spouse gives property to the same person** that exceeds $16,000 in value in the 2022 calendar year. Although your spouse is the only one who made the gifts, you and your spouse may elect to say the gifts came from both spouses, as noted in the example above.
- **The total value of gifts made from a spouse** who is a U.S. citizen to a spouse who is not a U.S. citizen exceeds $164,000 in 2022. Gifts made to a spouse who is not a U.S. citizen are limited to a specific dollar amount, indexed for inflation each year. Note that gifts between two U.S. married citizens are unlimited.
- **You make a gift of a future interest to anyone** during the course of the year. A gift of a future interest is one in which the recipient will not be allowed free and immediate use of the gift. An example of this would be a trust or real estate property that could not be used by the gift beneficiary until after your death.
- **A below market transaction can be considered a gift** and could require a gift tax return to be filed. For instance, if you give one of your children a family heirloom worth $30,000 and ask him to pay $10,000 for it, you have made a $20,000 gift. As this is over the $16,000 annual exclusion threshold, a gift tax return would be required. It is recommended that you get a professional appraisal when gifting valuable property.

When Is the Gift Tax Return Due?

The gift tax Form 709 is due on or before April 15 of the year following the year that you made the gift. If you are not sure whether gifts you have made during the course of the year should be reported on Form 709, consult with your estate-planning attorney and accountant well

before April 15 to be sure. If you extend your income tax filing to Oct. 15, this automatically extends the due date for a gift tax return.

> "Filing a gift tax return does not necessarily mean the donor must pay a gift tax."

Will I Owe Gift Tax?

Filing a gift tax return does not necessarily mean the donor must pay a gift tax. In fact, it is increasingly rare for there to be gift tax due, in large part due to the tax changes that went into effect in 2018.

In addition to the $16,000 annual exclusion, in 2022 U.S. taxpayers also have a lifetime federal estate, gift and generation skipping transfer tax exemption of $12.06 million for individuals, or $24.12 million per couple. This is often referred to as the "unified credit." This means that if you use a portion of this exemption for gifts now, it will reduce the amount that is exempt from estate tax when you die.

To illustrate how this works, let's consider a couple who wants to give $132,000 to their single daughter to help with a down payment on a house. Of that amount, $32,000 would be applied to the annual gift exclusion ($16,000 from mom and $16,000 from dad), leaving $100,000 that would be potentially exposed to gift tax.

However, mom and dad could then elect to use $100,000 of their unified lifetime credit and avoid paying gift tax in 2022. That amount would be deducted from their lifetime credit, meaning that their estates would now be taxable above $24.02 million, instead of $24.12 million.

Given that very few households have more than $24.12 million in assets, it's clear that in most cases gifts over the $16,000 annual exclusion will simply be deducted from the lifetime credit.

Here again, you must file gift tax Form 709 to indicate to the IRS that you are using a portion of your lifetime credit, in order to avoid paying gift tax.

Exceptions to the Rule

There's always an exception to the rule and the gift tax is no different.

Gifts may qualify for the medical exclusion if the payment is made directly to an institution that provides medical care or that provides medical insurance. This means you can pay for your grandchild's doctor bills in the amount of $10,000 and also give your grandchild an additional $16,000 without incurring any federal gift tax or having to file. There is no limit on the amount you may gift under the medical exclusion.

In addition, gifts made directly to a qualifying institution as tuition for a recipient's education are exempt from gift tax, regardless of the amount. You can pay your grandchild's college tuition of $50,000 and also give your grandchild an additional $16,000 in the same year without incurring any federal gift tax or having to file a gift tax return. In both cases it's crucial that the payment be made directly to the institution.

A popular use of the annual exclusion is to put money in Section 529 college savings plans. The law also permits tax-free gifts of as much as five years' worth of gifts per recipient at once — $80,000 per spouse in 2022. In this case, you must file a gift tax return electing to treat the gift as if it had been spread over five years. During this five-year period, you can't generally make additional annual exclusion gifts to the beneficiary of the 529 plan. An exception would be if the annual exclusion was increased to $17,000 next year, then you would be permitted to add an additional $1,000.

Filing Even When Not Required to Do So?

In certain circumstances it may be wise to file a gift tax return even if the rules don't require it. Consider filing whenever you sell hard-to-value assets to a family member, such as real estate or a family business. If not filing, the IRS can claim transactions between family members were actually gifts in disguise. Filing the gift tax return not only clarifies whether any consideration was offered, but also means that the IRS has only three years to challenge the legitimacy of the sale.

Keep Good Records

The exclusion amounts from estate and gift taxes are cumulative, so gift tax returns should be kept indefinitely. Keep copies of these returns forever … yes, really … forever.

While current tax laws mean that the vast majority of us will never pay gift tax, this is only true if gifts are properly documented and gift tax returns are filed in a timely fashion. It's crucial that you coordinate any sizable gifts with your accountant and financial planner, to ensure they are made as tax efficiently as possible. B

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At an Attractive Interest Rate, Treasury Bonds Offer Protection Against Inflation

Series I Bonds: a Best-Kept Secret

by Malik S. Lee, CFP, CAP, APMA

Since the Great Recession in 2008, Americans have been scrambling to find decent yields on their savings accounts and emergency reserve funds. Fortunately, an old strategy of investing in U.S. Series I Savings Bonds is regaining popularity and can be more lucrative than a traditional savings account or certificate of deposit (CD).

A Series I Savings Bond (or I bond) is issued by the U.S. Treasury Department and earns interest through a combination of a fixed rate and an inflation rate that compounds semiannually. On May 1, the U.S. Treasury Department announced that the I Bond inflation rate for the next six months (through October 2022) would be an annualized 9.62%.

Using this investment strategy on funds you don't need in the next 12 months can help you fight off the inflationary headwinds that your savings and cash reserve funds are facing. Here are a few things you need to know.

I Bond Details

Series I Bonds are offered via the U.S. Treasury Department and backed by the full faith and credit of the U.S. government, which is essentially the highest standard of guarantees one can receive when it comes to the safety of their investments.

You can purchase I bonds directly through the federal government's TreasuryDirect website (**www.treasurydirect.gov**) such purchases are limited to $10,000 annually per person ($20,000 per married couple).

Because of how they earn interest, I bonds offer special protection against inflation, which makes them attractive in this current economic climate. The interest rate of an I bond comprises two components: the fixed rate and the inflation rate. These two components are added together to arrive at the composite rate, the actual rate of interest that an I bond will earn over six months.

Therefore, if you bought $10,000 of I bonds on May 1, the composite rate for this bond is based on the current fixed rate (0%) and the adjustable inflation rate (9.62%) announced on May 1. Together, these rates form a total annualized composite rate of 9.62%.

Comparing I Bonds to Other "Safe" Options

We can all probably agree that earning just over 9.5% on "safe" investments is difficult to beat, but to drive the point home further, I searched Bankrate to see how the competition ranks.

> "One of the main things to be mindful with about I bonds is their limited liquidity."

In May 2022, the top high-yield savings account rates were hovering around 0.60%, while the top rate for a five-year CD was about 2.75%. Both of these are a far cry from 9.62%.

Redeeming Your I Bond

One of the main things to be mindful of with I bonds is their limited liquidity and the potential to forfeit up to three months of interest if you don't hold onto an I bond for at least five years.

More specifically, here's how redeeming an I bond can impact your overall return:

- **During the first 12 months of issue, I bonds have no liquidity. You cannot redeem the bond for its value, even in the case of an emergency**.
- **If held between one and five years, you will forfeit the last three months of interest.**
- **If held for more than five years, it will be redeemable at its current value.**

Because I bonds are completely illiquid for the one year following their purchase, they would not be an appropriate investment option for anyone who may need access to such funds within 12 months of purchase. But the liquidity restrictions should be of minimal concern if you can afford to part with the money for at least one year.

Given the maximum purchase limit ($10,000 per Social Security number) and minimum holding period of 12 months, be mindful of your cash flow needs before placing too much into this bond and finding yourself in a pinch.

Malik S. Lee, CFP, CAP, APMA, is managing principal of Felton & Peel Wealth Management in Atlanta and New York. Visit www.FeltonandPeel.com.

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Be Aware That Bonds Come With Multiple Risk Factors

Bonds: Interest Rate and Duration

by Gerri Walsh, President, FINRA Foundation and Senior Vice President, Investor Education

Do you own bonds or have money invested in a bond fund? If so, given that the Federal Reserve has signaled a decision to begin raising interest rates, now is a good time to brush up on two factors that can drag down bond prices and fund returns — interest rate changes and a bond's duration.

The two are correlated. A well-known maxim of bond investing is that when interest rates rise, bond prices fall, and vice versa. This is also referred to as interest rate risk. And some bonds are more sensitive to interest rate changes than others. That sensitivity is known as a bond's duration.

That's not to be confused with a bond's maturity, which is simply the date on which a bond issuer must repay the principal of a bond to the bond holder in full. Generally, the higher the duration, the more sensitive your bond investment will be to changes in interest rates.

Let's dig deeper.

> "The higher the duration, the more sensitive your bond investment will be to changes in interest rates."

Bonds and Interest Rates

So, why do bonds tend to fall in value when interest rates rise?

Let's say you bought a $1,000 bond with a 10-year maturity and a 6% coupon rate at face value. Now let's jump forward. If one year later, interest rates have gone up and a comparable bond is issued with a 7% coupon rate, suddenly the bond you are holding looks less appealing to potential purchasers.

If you wanted to sell your bond before it matures, you'd likely have to sell at a price below face value, because investors now expect to be making 7%.

Conversely, if interest rates decline, your bond would suddenly look more attractive and would likely demand a price higher than face value should you to sell it before maturity.

If you're a "buy-and-hold-to-maturity" bond investor, interest rate changes may have little or no direct impact on your financial situation since the market price of a bond doesn't matter much if you aren't looking to sell.

Duration Details

Bond duration is a measure of the degree to which a bond investment is likely to change in value if interest rates were to rise or fall. The higher the number, the more sensitive your bond investment will be to changes in interest rates.

Generally speaking, for every 1 percentage-point change in interest rates, a bond will rise or fall in the opposite direction by an amount equal to its duration number.

For example, if a bond has a duration of 10 and interest rates increase by 1 percentage point, then that bond's price would be expected to decline by approximately 10%. If interest rates were to decline 1 percentage point, the bond's price would be expected to increase approximately 10%.

The calculations used to determine duration generally take into account a number of factors such as how much interest a bond pays during its lifespan, as well as a bond's call features, yield and time to maturity. In general, the higher the coupon rate, the lower the duration and, conversely, the longer the maturity, the higher the duration.

To find a bond fund's duration, look at the fund's Fact Sheet, which you can find on the fund company's website. The duration can often be found in the "Bond Holding Statistics," "Key Facts" or "Portfolio Data" sections.

Finding the duration of an individual bond can be trickier. Start by asking your investment professional or brokerage firm.

Bonds Can Be Risky

One final point. Just because a bond or bond fund has a low duration doesn't mean it is low risk. In addition to duration risk, bonds and bond funds are subject to credit risk, default risk, inflation risk, call risk and other risk factors.

It's important to read a bond's offering document or a bond fund's prospectus to learn about all of these risks.

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Santa Cruz County Club Has Just Added an Educational Segment to its Meetings

Investors With Good Habits in California

by Scott D. Horsburgh, CFA

Women's Investment Network (WIN) of Santa Cruz County, California, began in 1986. What a terrific time to get started investing, in the early going of what became an almost 20-year bull market for stocks with only one recession. The club began with 20 members, but currently has eight.

The club has developed many terrific habits. It is clear from looking at the portfolio that they are patient investors. Each member is required to join BetterInvesting, learn BI tools and do her own stock studies. Everyone follows at least one stock and stock assignments are rotated periodically. The club has a formal chart to determine when each stock comes up for quarterly review, although members are free to chime in off-schedule when they have something significant to report.

Meetings are fairly short at just an hour because the club also holds two small group meetings per month, one in person and the other online. The club has recently added an educational component to its meeting. A club representative commented that these sessions open members' eyes to additional tools and techniques, including Quarterly Trend Analysis (PERT), and have led to a reinvigoration of the club as more members become excited about the possibilities.

The club is concerned about diversification, which is a challenge with just 13 stocks. Let's review the WIN portfolio and look for opportunities to improve.

AbbVie, ResMed, UnitedHealth Group

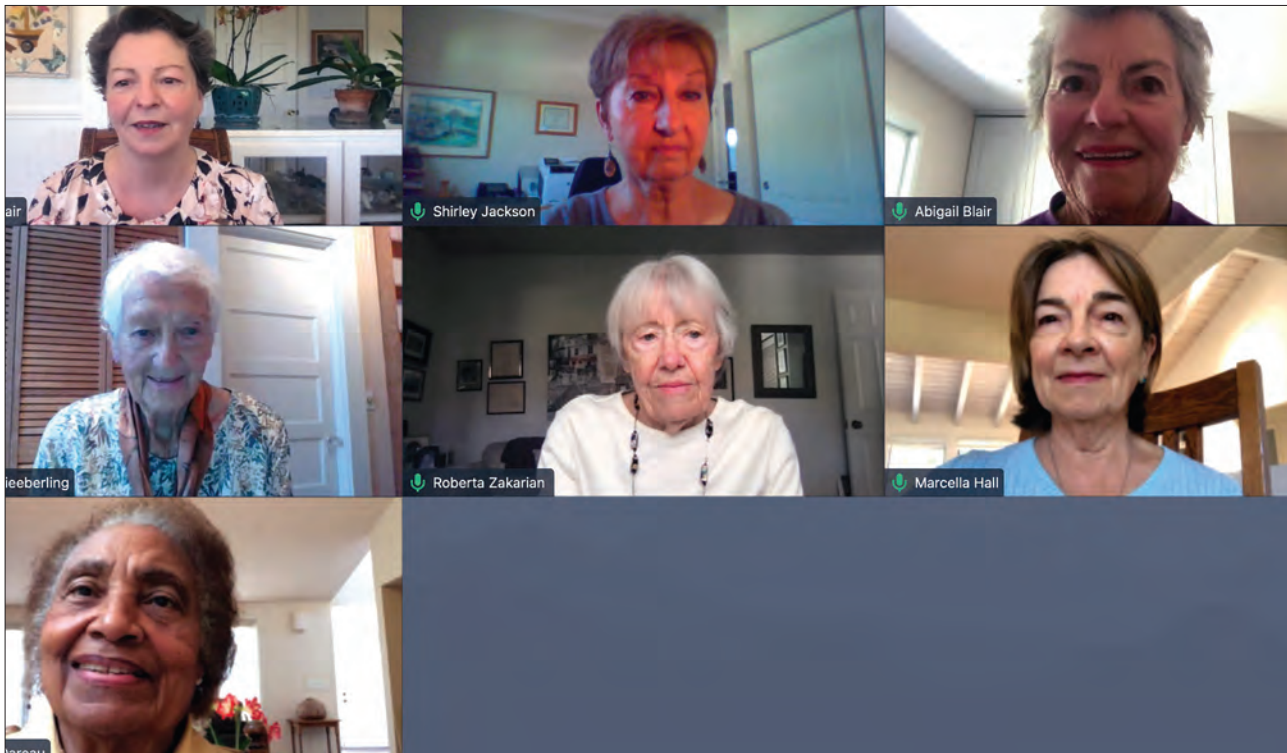
The largest sector concentration in the portfolio is to the medical sector at 29%. **AbbVie (ticker: ABBV)** has been a strong holding for the club, which bought the stock right near the bottom of the market in 2020. Much has been made of the loss of patent protection for Humira, AbbVie's best-selling drug at 35% of sales in 2022's first quarter, but the naysayers have been wrong at least so far. But the patents expire next year and several large firms are set to offer biosimilars, the biotechnology term for generic equivalents. Sales of its newer immunology drugs (Skyrizi and Rinvoq) grew a brisk 60% in Q1, 2022, but at a combined 10% of AbbVie's total sales may not be sufficient to offset what is likely to be a meaningful hit to Humira sales next year.

AbbVie's trailing price-earnings ratio of 18 seems reasonable, but consensus Wall Street estimates call for a 19% profit decline next year. I'd be happy to have doubled my money in a little over two years and would challenge AbbVie with other medical companies. **Vertex Pharmaceuticals** and **Align Technology** come to mind, but Align has a cyclical component that resulted in a weak first quarter.

Women's Investment Network (WIN)

Company	Ticker	No. shares	Cost	May 19, 2022 Price	May 19, 2022 Value	Gain/ (loss)	%Gain/ (loss)	Quality rating*	% Growth estimate**	% of portfolio	Trailing P/E	Trailing EPS
AbbVie	ABBV	150	$11,900	$ 151.72	$22,758	$10,858	91.2	2	5	10.5	18	8.21
Apple	AAPL	188	2,452	137.35	25,822	23,370	953.2	1	14	11.9	23	6.04
Booking Holdiings	BKNG	5	9,358	2,103.40	10,517	1,159	12.4	3	12	4.8	39	53.98
Caterpillar	CAT	30	5,990	206.76	6,203	213	3.6	2	5	2.9	19	10.83
Comcast, Class A	CMCSA	300	5,536	42.02	12,606	7,070	127.7	1	12	5.8	13	3.28
Costco Wholesale	COST	55	5,348	422.93	23,261	17,913	334.9	1	10	10.7	34	12.54
Disney	DIS	65	9,108	103.14	6,704	(2,404)	(26.4)	2	12	3.1	70	1.48
D.R. Horton	DHI	211	16,162	66.52	14,036	(2,126)	(13.2)	3	10	6.5	5	13.96
Factset Research Systems	FDS	56	941	360.42	20,184	19,242	2,044.6	1	10	9.3	31	11.50
Paychex	PAYX	120	9,489	115.84	13,901	4,412	46.5	1	11	6.4	31	3.75
Resmed	RMD	103	4,935	197.59	20,352	15,417	312.4	3	13	9.4	33	5.91
UnitedHealth Group	UNH	42	12,485	478.55	20,099	7,615	61.0	1	12	9.3	25	19.21
Visa	V	101	6,799	197.37	19,934	13,135	193.2	1	16	9.2	29	6.70
Cash & Other			636		636			1		0.3		
Average									11		28	
TOTAL			**$101,138**		**$217,012**	**$115,874**	**114.6**			**100**		

* Based largely on rankings published by Value Line.
** As estimated by the author, with data from Thomson Reuters.
Note: Numbers in the table have been rounded.



The Women's Investment Network of Santa Cruz County, California. Top row from left to right are Abbie Blair, Shirley Jackson and Annie Tokarz. Middle row: Audrey Fieberling, Roberta Zakarian, Marcella Hall. Bottom row Teresa Dareau. These names are correct, the names on the picture are not.

ResMed (RMD) makes products and software for sleep-disordered breathing, primarily sleep apnea. Steady demand for replacement masks for its CPAP machines tends to keep the company on a consistent growth trajectory. Recently it has benefited from a competitor's product recalls, but supply-chain issues have prevented it from fully capitalizing on the opportunity. Its devices are selling well, however, and that will lead to increased sales of high-margin replacement masks in the future. ResMed's P/E seems slightly lofty at 33, but this is a high-quality growth company that seems to make steady forward progress.

UnitedHealth Group (UNH) is on its way to its 14th consecutive year of increased profits. In the early stages of the pandemic, UnitedHealth's profits soared because patients were skipping treatment and surgeries out of fear of going to hospitals and clinics. Once patients began seeking treatment once again, earnings fell for a few quarters. Business has settled into its normal pattern and trendline earnings growth has returned to its typical low double-digits. A trailing P/E of 25 isn't exactly cheap, but UnitedHealth is a very high-quality company in an industry that continues to grow.

Visa, Paychex, FactSet Research Systems

The WIN club is a rarity in that its second-highest sector exposure is to financial stocks. **Visa (V)** is one of the most absurdly profitable companies I've ever seen. Its pretax profit margin is 65% over the past 12 months. Fixed costs for brand development and cybersecurity are very high, but incremental costs are very low. The risk is that someone else develops a better mousetrap, but with every passing year the barriers to entry keep rising. Like with other blue chips, the P/E ratio of 29 isn't low, but I categorize Visa as "expensive but worth it."

Paychex (PAYX) is in a similar camp, but with a somewhat lower long-term growth profile. Paychex handles payroll processing for small businesses along with related human service offerings. There is a slight degree of cyclicality to the company as the number of employees on its customers' payrolls tends to decline when the economy enters a recession. Its growth is steady but could be higher if it pursued acquisitions instead of paying out 80% of its profits in the form of dividends.

I was beating up **FactSet Research Systems (FDS)** for three years as it spent to upgrade its technology to the cloud and catch up with competitors who had better and more detailed specialty coverages than FactSet. This led to a period of slow earnings growth that was too long for my taste, given the stock's lofty valuation. But FactSet and its investors proved me wrong, and recently the company emerged from its three-year growth program.

Share buybacks and a falling tax rate have caused FactSet to overachieve its underlying growth for several years, but growth appears to be strengthening. Organic revenue growth reached 10% in the March

quarter and pretax profit grew 19%. As with Visa and Paychex, the P/E of 31 appears to be a little high but might be worth it.

Owning three financial-type companies with P/Es of around 30 seems a bit much. Visa is the "cheapest" with the highest long-term growth. But any of them could be challenged against other financial companies to obtain additional diversification. As a challenger, **FleetCor Technologies' (FLT)** stock hasn't done particularly well, but the business appears to be quite strong and the P/E is much cheaper at 20. Although not a direct competitor, it is in the payment-processing space like Visa; but be careful not to hold too much in both companies combined.

Costco, Booking Holdings, Disney

Consumer stocks make up the WIN club's third largest sector exposure. **Costco's (COST)** share price is starting to look reasonable once again as numerous large competitors have reported supply-chain problems that have impacted sales and margins. At its recent price, Costco's stock is down an uncharacteristically large 30% from its high. But like I've said about so many other companies in the WIN club portfolio, Costco is in the "expensive but worth it category." It wasn't worth the price last year before the recent tumble, but the company is beloved by customers, employees and shareholders, and is a worthy addition to a portfolio provided it looks good on a stock study.

The club was unfortunate in the timing of its purchase of **Booking Holdings (BKNG)** just a few months before the pandemic leveled its business. Demand for travel in the U.S. has reached record levels, but the majority of Booking's business is overseas where conditions remain well below pre-pandemic levels. The stock has clearly not worked out like projected. While it isn't Booking's fault, the club is under no obligation to take a charitable approach to the stock. Analyzing stocks like this is really tough. What I do is project a growth rate below the previous trends and extrapolate that growth rate over the seven years from 2019 to 2026. That gives me a reasonable goal for Booking. I plug that in as my EPS number five years into the future. Remove unreasonable P/Es for 2020 and 2021 and examine whether the stock is still your best bet.

Disney (DIS) wasn't affected only by the pandemic's impact on travel to its theme parks, but also by losses to fund the growth of its streaming services. Owner of the Star Wars franchise, Marvel, Pixar, Twenty-First Century Fox and its legacy Disney movie business, no company appears better positioned to dominate streaming. Lately Disney has been pulled down over weakening results at **Netflix** even as Disney's streaming business continues to grow. Coming up with reasonable growth estimates and a future value becomes quite difficult following chaotic results over the past two-plus years. Disney seems "cheap," but I can't prove it with numbers.

Apple

WIN's technology portfolio consists of just one stock, Apple, its largest holding at 11% of the portfolio. It appears Apple is headed for some softness due to supply-chain issues globally, worsened by its dependence on China for manufacturing. China at this point is experiencing rolling restrictions as it tries to completely stamp out COVID-19 within its borders. With 5G in the midst of its multi-year rollout, Apple appears to be an almost certain winner. Once the present challenges clear up, Apple could continue to post growth above its pre-2021 level. It would be nice to see more tech in the WIN portfolio, even if it means trimming some Apple to get there. Services company **Concentrix,** giant **Microsoft** and niche company **Zebra Technologies** would all make interesting alternatives.

Caterpillar, D.R. Horton

The WIN club also owns two manufacturing companies, **Caterpillar (CAT) and D.R. Horton (DHI)**. Caterpillar is one of the first names that comes to mind when looking for beneficiaries of increased infrastructure spending. Therein lies part of the problem with the stock — it gets caught up in "thematic" investing. I find that I do my best when I identify companies that are excellent at what they do rather than trying to find companies that fit a narrative. The other problem with Caterpillar is that it features low long-term growth plus cyclicality, the opposite of what we'd like to see — growth and consistency. With so many great companies at fire-sale prices, there has got to be a better use for this slot in the portfolio.

With earnings doubling in the past 18 months, D.R. Horton's business has soared, but its shareholders have no reason to celebrate. The estimates I've seen suggest the U.S. is between 1.5 and 3 million homes short of what we need. Bidding wars erupt over any house coming up for sale and prospective buyers even write letters to sellers begging to be picked. As America's largest homebuilder, Horton seems to be well-positioned to benefit from insatiable demand for housing. But higher interest rates are like kryptonite to builders, slowing demand for new homes as mortgage payments rise. The unknowable question is whether higher mortgage payments will lower affordability to the point that people cannot afford to buy a house. If we get to that point, the economy

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may well be in recession and interest rates might begin to fall. What to do? Horton is a strong company and trades for just 5x trailing EPS. Investors need to decide for themselves whether they are willing to wait out a period of volatility in order to benefit from anticipated strong demand.

Comcast

And last but not least is the communications sector, featuring **Comcast (CMCSA).** Cable companies continue to grow their broadband and mobile subscription bases even as traditional cable TV gradually succumbs to cord-cutting and streaming services. Comcast returned to growth in 2021 after a difficult 2020 when the company's theme park and movie businesses struggled in the aftermath of the pandemic. There should be continued growth as these industries recover further. Costs to develop its Peacock streaming service will be a drag on profits. I'm not particularly impressed with results of SKY, the European pay-TV network it acquired a few years ago. Still, there is growth and the P/E is low at just 14.

Stocks to Challenge?

Overall the WIN portfolio appears quite strong with a number of blue chip quality growth companies like Apple, Costco, UnitedHealth and Visa. In addition, there are "red chip" midcap growth companies like FactSet, Paychex and ResMed. There isn't a lot of turnover and that is OK when the portfolio companies are experiencing good business results and are available at reasonable valuations.

A few holdings would be ripe for challenge from other companies. I am concerned about results after AbbVie loses patent protection on Humira next year. Caterpillar is a "good company," but the growth isn't really that good. FactSet may be in the "expensive but worth it" category, but with growth that isn't as strong as the club's other growth-financial companies, Visa and Paychex. Booking Holdings could use a reworked stock study to see if it is up to snuff. Possible challengers include Align Technologies, Concentrix, FleetCor Technologies, Microsoft and Vertex Pharmaceuticals. The WIN club would benefit from developing a list of challengers to provide alternatives when questionable situations arise like AbbVie's loss of patent protection on Humira as well as to offer options to challenge unexciting holdings like Caterpillar. B

Scott D. Horsburgh, CFA, president of Provident Investment Management of Novi, Mich., co-authors the Investor Advisory Service newsletter.

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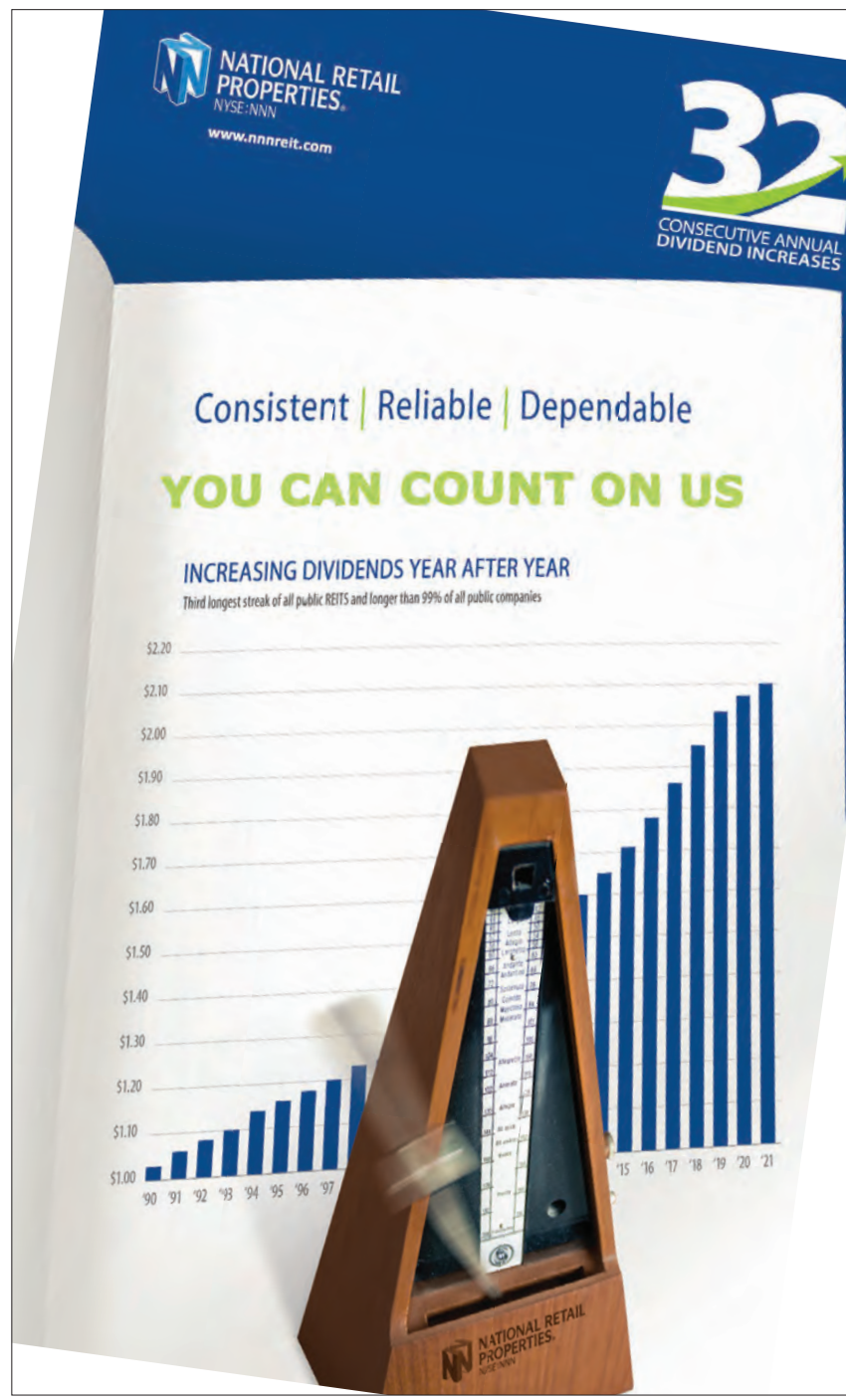

Club Accounting

Taking Money Out of Your Investment Club Will Have Tax Implications

How a Withdrawn Member Can Handle Personal Taxes

by Russell Malley, Club Accounting Adviser, ICLUBcentral

A recent support request asked about how withdrawal amounts are reported on a club member's Schedule K-1. I will expand that issue a bit and also explain how a withdrawn member reports gain from her club investment on her personal tax return.

The first thing to remember is a withdrawn member will not have gain from her club investment reported on her Schedule K-1. The capital gains reported on the K-1 are the member's share of the club's capital gains during the tax year. What is reported on the K-1 related to a withdrawal is the proceeds received in the withdrawal. This is reported on line 19 of the K-1.

A code on line 19 differentiates between cash and property received. The code "A" is used for cash received while property has the code "C" used. For investment partnerships, such as BetterInvesting-style investment clubs, stock is considered property so stock received is listed on line 19 with the code "C" for property.

There is a possible confusing quirk for the value of the property reported on line 19. The reported amount for property distributed isn't the market value of the stock received. The amount reported is the club's cost basis in the stock transferred to the withdrawing member.

This makes it possible for a member with a smaller value withdrawn as stock to have a greater value reported for property on line 19 than a member with greater value withdrawn. This happens when stock with greater unrealized gains is transferred to the member who withdrew a greater value. The club's cost basis in such stocks will be lower so a smaller number will be reported on line 19 with code "C."

The Member Withdrawal Distribution Report

Since the K-1 does not report the gain from a withdrawal, how does a withdrawn member know what to report on her personal tax return? The gain from a withdrawal is reported on the Member Withdrawal Distribution report in myICLUB. A withdrawn member should always receive a copy of this report to help with completing a corresponding tax return.

The gain reported on the withdrawal report will be accurate once the withdrawal is processed for a full withdrawal. It is bit more complex for partial withdrawals. The member's cost basis in the club used to determine gain for a partial withdrawal is the end of year basis after the allocation of income has been processed.

As a result, the gain from a partial withdrawal cannot be calculated until after the year-end allocation is processed. A withdrawal report generated after the year-end allocation will report the gain from a partial withdrawal but not before the allocation is completed.

> **"Reporting a capital gain from a withdrawal on a personal tax return is just like reporting a gain from a stock sale."**

Reporting a capital gain from a withdrawal on a personal tax return is just like reporting a gain from a stock sale. The gain is itemized on the appropriate Form 8949. The check box for no Form 1099 received should be checked on the 8949. The description of the property would be something similar to "partnership interest."

The acquisition date is the date of a member's first capital contribution to the club. The sale date is the withdrawal date. The proceeds, cost basis and gain can be transferred from the withdrawal report.

The total from the 8949 is then transferred to the appropriate line on Schedule D. This covers gains from a withdrawal where enough cash was received to generate a gain.

If stock was received for a withdrawal, the withdrawal report will give the member the cost basis and acquisition date for all tax lots received in the withdrawal. Those can be used to calculate gain and complete tax returns when these stocks are sold.

A withdrawn member should inform the broker of the cost basis and acquisition date for all tax lots received.

If the broker is reluctant to use the figures from the withdrawal report, the member can and should find the ICLUBcentral memo on this topic at:

https://bit.ly/39Um4JW or
www.iclub.com/faq/Home/Article?id=672

This memo explains why the withdrawal report information is accurate.

Wireless Sound System Maker Holds One of Industry's Top Patent Portfolios

Sonos, Inc.

Sonos, Inc. (ticker: SONO) pioneered wireless home sound systems, having perfected the technology almost 20 years ago. Although still a relatively small concern, the company remains a leader in this and related audio technologies and has enjoyed particularly strong revenue growth over the four years since it went public.

The company got a sales boost from the pandemic-driven work-from-home shift as employees spent to make their surroundings more comfortable. Sonos has managed, however, to avoid a "Peloton hangover" as employees began returning to the workplace with the recent easing of pandemic conditions. Peloton Interactive (PTON), a provider of interactive home exercise equipment and related services, has suffered a sales drop-off in the aftermath.

Sonos has continued to turn in strong revenue growth well beyond the worst stretches of the pandemic. Production levels have been crimped, however, by ongoing supply chain disruptions restricting access to computer chips. Design changes in Sonos products have eased the problem. Management has cautioned that the supply chain issues may last through the end of 2022.

Tunes to Go. Sonos is a leading provider of wireless home audio hardware and services.

Members of the Editorial Advisory and Securities Review Committee remarked that a competitive advantage is ease of use, with setup of Sonos products fast and intuitive. Members said another reason for the popularity of Sonos products is that they integrate well with other technologies and services. Members also noted that as a mid-cap, Sonos is smaller than the companies typically profiled in the magazine.

Investor expectations that Sonos would suffer a late-pandemic sales dip like Peloton's may help explain the stock's recent underperformance. The stock's $20.96 close reported May 23 was 50.7% below the 52-week high of $42.57 recorded on Aug. 16, 2021. Its TTM price-earning ratio was 21.6 (*see table*); the ratio for the S&P 500 was 20.1.

CSIMarket, a financial data service, set the TTM ratio average for the appliance and tool industry at 13.7. Based on figures Yahoo Finance reported, the P/E ratio average was 13.1 for Sonos and two competitors named by Morningstar. (A third competitor showed a loss and was omitted from the calculation.) For P/E to projected growth, or PEG, Yahoo Finance reported no ratio for Sonos.

Corporate Frequencies

Sonos chiefly develops, produces and markets wireless, multi-room home sound systems. The offerings include voice-enabled wireless speakers, home theater speakers and related audio components. Sonos also markets components allowing conversion of third-party speakers and stereo systems for wirelessly controlled streaming music, audiobooks, podcasts and internet radio.

The company distributes its products and services primarily through more than 10,000 third-party retail outlets. Sonos also markets through its own website and select e-commerce retailers.

At the close of fiscal 2021 (ended Oct. 2, 2021) Sonos reported it had close to 37.1 million products registered in about 12.6 million households worldwide. The household total was up 15.6% from roughly 10.9 million the year before.

Sonos speakers — the company's legacy product line — generated $1.4 billion in 2021. That was 80.3% of the $1.7 billion in total revenue. Sonos system products accounted for $265.2 million — 15.4% of the total. Partner products and other revenue generated $72.8 million — 4.2%.

International operations accounted for sales of $825.9 million — 48.1% of the revenue total. Europe, the Middle East and Africa represented the largest category of overseas revenue, having generated $618.5 million — 36.0%. Asia Pacific produced $117.3 million — 6.8%. Excluding the United States, the Americas accounted for $90.1 million — 5.2%.

The enterprise traces its beginnings to 1990. Seeing the potential of the internet, co-founder John MacFarlane abandoned his doctoral studies at the University of California–Santa Barbara and partnered with Tom Cullen, Trung Mai and Craig Shelburne to launch Software.com. In 2000 they merged the wireless texting firm with Phone.com into Openwave, now a division of Enea (ENEA.ST).

In 2002 the entrepreneurs shifted their attention to home audio technology. After overcoming difficult engineering challenges, they released their first product in 2005 to positive reviews. Initially known as Rincon Audio, the company adopted its current name in 2004.

The Great Recession dampened sales, but with the end of the downturn the company began to see strong, steady revenue growth. The company's initial public offering of common stock was in August 2018.

Sonos, Inc.

	2021 (ended 10/2/21)	2020 (ended 10/3/20)	% change	FY 2022 Q2	FY 2021 Q2	% change	FY 2022 year to date	FY 2021 year to date	% change
Net sales	$1.7 billion	$1.3 billion	29.4%	$399.8 million	$332.9 million	20.1%	$1.1 billion	$1.0 billion	8.8%
Net income*	$158.5 million	($19.8 million)	—	$8.6 million	$17.2 million	(50.3%)	$132.0 million	$149.5 million	(11.7%)
Diluted EPS*	$1.13	($0.18)	—	$0.06	$0.12	(50.0%)	$0.93	$1.09	(14.7%)
Declared dividends	—	—	—	—	—	—	—	—	—

Stock exchange	Nasdaq	Value Line long-term earnings growth estimate	36.0%
Ticker symbol	SONO	Consensus long-term earnings growth estimate (6 analysts)	10.4%
Price at time of selection	$20.70	Consensus EPS growth rate for FY ended October 2022	0.9%
Past year's price range	$18.92 – $42.57	Consensus EPS growth rate for FY ended October 2023	29.8%
Recent market price	$20.96	Recent price-earnings ratio**	21.6x
Market capitalization	$2.7 billion		

* Excluding nonrecurring and special items.

** The P/E ratio is based on diluted EPS of $0.97 for the four quarters ended April 2, 2022.

Sources: Morningstar, Yahoo Finance, Value Line and company reports

Patrick Spence, CEO and president, became the company's top executive in January 2017, taking over from co-founder John MacFarlane. Spence, 47, joined Sonos in 2012 and previously served as an executive at BlackBerry (BB), formerly Research in Motion.

Michelangelo "Mike" Volpi, 55, became chairman in November 2010. He's a partner at venture capital firm Index Ventures and has served on the boards of numerous technology companies. Previous experience included posts at Cisco Systems (CSCO) and Hewlett Packard, now HP (HPQ).

Competitors include GoPro (GPRO), iRobot (IRBT) and Wacom (6727), Morningstar reported.

Dealing With Some Static

Throughout much of the company's history, one of management's challenges has been protecting the firm's intellectual property. As large technology corporations with greater resources entered the competitive arena, patent wrangles became more frequent.

Sonos appeared to win a round in one of the latest such disputes. In January the U.S. International Trade Commission agreed with a judge's earlier ruling in the firm's favor. The commission found that Alphabet (GOOG) unit Google had violated five Sonos patents for smart speakers and Pixel phones and laptops.

The agency banned importation of Alphabet products containing the offending components. Alphabet reported, however, that it made modfications the commission accepted and that the patent decision therefore wouldn't disrupt importation of its current products.

Another Sonos patent case against Alphabet is pending in federal court in California. Alphabet continues to dispute those claims and the ones the ITC addressed. When — or if — Sonos will receive royalties on Google products allegedly employing its patented technologies remains unclear.

Sonos reportedly has one of the richest patent portfolios in the consumer electronics industry. Analysts have suggested that Alphabet is likely just one of several companies that may be infringing Sonos patents — companies that may eventually be paying Sonos royalties.

In 2021 research and development expenditures stood at $230.1 million — 13.4% of total revenues. The 2021 spending was up 7.2% from the year before, when R & D expenditures represented 16.2% of total revenues.

In recent years management has built upon the company's core technologies, expanding into new audio markets. For example, in March 2021 Sonos announced it was supplying Audi, a Volkswagen (VWAGY) subsidiary, with audio components for a new electric vehicle. The arrangement marked the company's first foray into the auto market.

Sonos has moved beyond an emphasis on hardware products into free and paid services. In 2020 the company launched Sonos Radio HD, a premium tier of its free, advertising-supported streaming radio services. The paid premium subscription service eliminates all advertisements, boosts audio quality and features new artist-curated stations.

So far this year the company has negotiated just a few acquisition deals. In April Sonos announced its $100 million cash acquisition of Mayht Holdings, a Netherlands-based

business. Mayht developed smaller and lighter audio transducers, the foundational components in speakers. Sonos earlier negotiated two smaller acquisitions. It paid a combined $27 million for the privately held businesses.

In response to uncertainties and challenges stemming from the pandemic, Sonos instituted a restructuring program from June 2020 through first quarter 2021. Management eliminated about 12% of staff positions and closed the New York City retail store and six satellite offices. Restructuring expenses amounted to $26.3 million.

Final Notes

BetterInvesting Magazine hasn't previously featured Sonos. The stock didn't appear in the Top 200 Survey of investor holdings for 2021 (*see the April 2022 issue*). The company doesn't pay a cash dividend, nor does it offer a direct stock purchasing plan. Its shares haven't undergone any stock splits to date.

In November 2020 the board approved a share repurchase program of up to $50 million. In 2021 Sonos utilized the entire authorization, buying back 1.4 million shares. Despite those purchases the share count was up year over year. The share tally has risen each year since Sonos went public in 2018. The board authorized a new $150 million stock repurchase program last November.

More background on Sonos and its industry, including the Value Line analyst and Value Line industry reports, can be found in the magazine section of the website. For more information, contact Investor Relations, Sonos, Inc., 614 Chapala St., Santa Barbara, CA 93101-3312.

— Reporting by contributing editor Kevin J. Lamiman

Next Month's Stock to Study and Undervalued Stock

The Editorial Advisory and Securities Review Committee met on June 27. The Stock to Study and Undervalued Stock that its members selected were announced shortly afterward. The below link will take you to the announcement at the BetterInvesting Newsroom:
www.betterinvesting.org/about-us/news-releases

SSG Study Notes

During your analysis of Sonos, Inc. (ticker: SONO) you might consider the following comments, data points and questions for further study.

- **Capitalization section:** With a market capitalization of $2.85 billion, SONO is a relatively small company in stock market terms. It has been public for less than five years. The company's debt load has remained fairly low. Does this trend represent an advantage as interest rates rise or does it reflect reluctance to expand or acquire assets? One opportunity for a smaller company is faster growth in percentage terms. Does SONO exhibit the growth in revenue and earnings consistent with peers of its size? Would any of its peers represent a better chance for return on investment? With smaller capitalization, does the company face risks during an economic recession that a larger company with a longer track record might be better able to navigate?

- **Section 1 (Visual Analysis of Sales, Earnings and Price):** Sales since 2015 have grown at a 11.9% average annual rate. Spotify and DocuSign, which went public in 2018, the same years as SONO, have significantly higher revenue growth rates. Is SONO's performance lagging or more characteristic of its product offering? SONO's revenue growth has taken off recently; does that indicate a trend or an anomaly? Earnings per share has turned positive after several down years — to what extent is that characteristic for the company's relative youth?

- **Section 2 (Valuation and Return):** Profitability is frequently flat or negative for early-stage growth companies. At what point should investors hold management accountable for posting steady profit gains? Because SONO's hasn't a long record of profitability, its P/E record is less meaningful. The average P/E since posting a profit is roughly 26. Of late the P/E is about 23. Does this seem reasonable enough to justify an investment in the stock? Intellectual property value and potential payments from litigation play a role in future profit — to what extent might they be fairly quantified when trying to evaluate income growth?

- **Section 3 (Price-Earnings History):** An SSG analysis of Sono's by a member of BetterInvesting's Security Review Committee suggests that profitability has been too recent, spotty and short-lived to make any reasonable assessment of potential return in the next five years. Are the basics of SONO's business attractive for other reasons, such as its potential to benefit from the growth of streaming music from the internet? Could SONO be a stock worth monitoring, though not yet one that justifies an investment? At what price would the stock become attractive enough to buy despite a sparse record of profitability?

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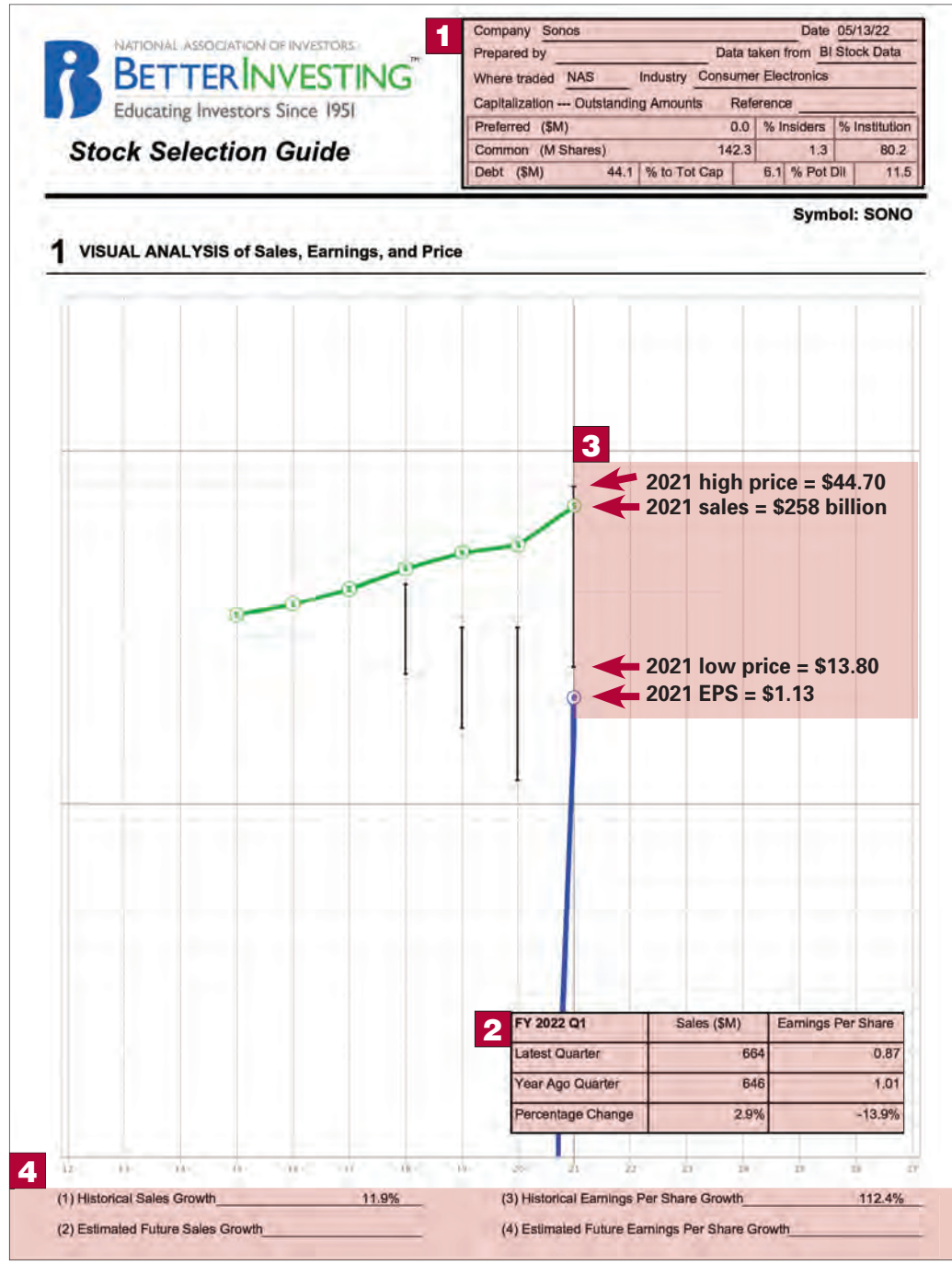

Figure 1
Capitalization information. Besides background about the company, including the data source used for the study, this section provides information about the number of common and preferred shares and the percentages held by insiders and institutional investors. The company's total debt and the percentage of debt to total capital also are detailed.

Figure 2
Recent sales and earnings results. This section contains the company's most recent quarterly results along with a comparison of results from the same quarter a year ago.

Figure 3
Visual analysis of sales, earnings and price. The graph provides a quick view of the company's financial results. A long-term history of consistent sales and earnings growth at relatively high rates indicates the company is well-managed and worth the time to study further.

The company's historical sales growth is plotted on the green line and historical earnings growth is represented by the blue line. The black bars provide information about the stock price. For each year, the top of the bar is the annual high price, while the bottom is the low price.

Figure 4
Forecasting future sales and earnings growth rates. This is the section in which you provide the first two primary judgments. The core of the BetterInvesting methodology is this: Sales growth drives earnings growth, and earnings growth drives stock price. Using the Stock Selection Guide, you'll forecast growth rates and determine the stock's potential high and low prices over the next five years.

The first step is to forecast sales growth. The company's historical performance is useful information, but you'll need to research the company and decide whether its revenue growth will continue at the historical level, slow down or possibly speed up.

After estimating sales growth, the next step is to forecast growth in earnings per share. In many cases you can estimate EPS growth that's similar to the rate you used for sales. EPS growth can differ from sales because of rising or falling expenses, an increasing or decreasing number of outstanding common shares and changing tax rates.

Remember, however, that even though a company can grow earnings faster than sales by cutting costs or buying back shares, this can't last forever. EPS growth eventually will drop to the same rate as sales.

You'll use the estimated growth rate for earnings to forecast the earnings per share five years from now. On the second page of the SSG, you'll use the future EPS to determine the stock's potential high price.

A key question to ask yourself is whether the company is growing at a sufficient rate relative to its size. Look for higher growth rates for small companies compared with medium-size and large companies.

Editor's note: The Value Line and Morningstar company and industry reports are available in the Analyst Reports and Other Resources section of the BetterInvesting website for your use in conducting stock studies. You'll need Adobe Acrobat software to read the Portable Document Format files.

2 EVALUATING MANAGEMENT

Company Sonos Inc. (SONO)

		2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	LAST 5 YEAR AVG.	TREND UP	TREND DOWN
A	% Pre-tax Profit on Sales (Net Before Taxes ÷ Sales)				-7.8	-3.9	-1.7	-1.3	-0.1	-1.5	9.1			
B	% Earned on Equity (E/S ÷ Book Value)							-114.9	-1.9	-7.6	24.2			

5

3 PRICE-EARNINGS HISTORY as an indicator of the future

This shows how stock prices have fluctuated with earnings and dividends. It is a building block for translating earnings into future stock prices.

PRESENT PRICE _____ HIGH THIS YEAR _____ LOW THIS YEAR _____

	Year	A PRICE HIGH	B PRICE LOW	C Earnings Per Share	D Price Earnings Ratio HIGH A ÷ C	E Price Earnings Ratio LOW B ÷ C	F Dividend Per Share	G % Payout F ÷ C X 100	H % High Yield F ÷ B X 100
1	2017			-0.16	NMF	NMF	0.00	0.0	0.0
2	2018	23.6	13.1	-0.24	NMF	NMF	0.00	0.0	0.0
3	2019	17.8	9.2	-0.05	NMF	NMF	0.00	0.0	0.0
4	2020	17.8	6.6	-0.18	NMF	NMF	0.00	0.0	0.0
5	2021	44.7	13.8	1.13	39.6	12.2	0.00	0.0	0.0
6	TOTAL								
7	AVERAGE								

6

8 AVERAGE PRICE EARNINGS RATIO 9 CURRENT PRICE EARNINGS RATIO

4 EVALUATING RISK and REWARD over the next 5 years

Assuming one recession and one business boom every 5 years, calculations are made of how high and how low the stock might sell. The upside-downside ratio is the key to evaluating risk and reward.

A HIGH PRICE — NEXT 5 YEARS

Avg. High P/E _____ (3D7 as adj.) X Estimate High Earnings/Share _____ = Forecast High Price $ _____ (4A1)

7

B LOW PRICE — NEXT 5 YEARS

(a) Avg. Low P/E _____ (3E7 as adj.) X Estimated Low Earnings/Share _____ = $ _____

(b) Avg. Low Price of Last 5 Years = _____ (3B7)

(c) Recent Severe Market Low Price = _____

(d) Price Dividend Will Support Present Divd. / High Yield (H) = _____ = _____

Selected Estimate Low Price _____ = $ _____ (4B1)

8

C ZONING

_____ (4A1) High Forecast Price Minus _____ (4B1) Low Forecast Price Equals _____ (C) Range. 1/3 of Range = _____ (4CD)

(4C2) Lower 25% = (4B1) _____ to _____ (Buy)

(4C3) Middle 50% = _____ to _____ (Maybe)

(4C4) Upper 25% = _____ to _____ (4A1) (Sell)

9

Present Market Price of _____ is in the _____ (4C5) Range

D UP-SIDE DOWN-SIDE RATIO (Potential Gain vs. Risk of Loss)

High Price (4A1) _____ Minus Present Price _____

Present Price _____ Minus Low Price (4B1) _____ = _____ = _____ To 1 (4D)

10

E PRICE TARGET (Note: This shows the potential market price appreciation over the next five years in simple interest terms.)

High Price (4A1) _____ / Present Market Price _____ = (_____) X 100 = (_____) - 100 = _____ (4E) % Appreciation

5 5-YEAR POTENTIAL

This combines price appreciation with dividend yield to get an estimate of total return. It provides a standard for comparing income and growth stocks.

Note: Results are expressed as a simple rate; use the table below to convert to a compound rate.

A Present Full Year's Dividend $ _____

Present Price of Stock $ _____ = _____ X 100 = _____ (5A) Present Yield or % Returned on Purchase Price

B AVERAGE YIELD OVER NEXT 5 YEARS

Avg. Earnings Per Share Next 5 Years _____ X Avg. % Payout (3G7) _____ = _____ = _____ % (5B)

Present Price $ _____

C ESTIMATED AVERAGE ANNUAL RETURN OVER NEXT FIVE YEARS

5 Year Appreciation Potential (4E) _____ / 5 _____ %

Average Yield (5B) _____ _____ %

Average Total Annual Return Over the Next 5 Years (5C) _____ %

11

Figure 5

Evaluating management. The key to successful investing is finding well-managed companies whose stocks are reasonably priced. The company's historical growth rates provide evidence of good management, as do the numbers in this section.

Pre-tax profit margins represent how much of each sales dollar a company keeps before taxes. We look at pre-tax margins because companies have limited control over their tax rates. Look for stable or growing margins.

Return on equity indicates how well the company manages the money share-holders have invested in the company. Again, look for stable or growing returns.

Figure 6

Price-earnings ratio history. Section 3 includes information you'll use in Sections 4 and 5. Columns D and E detail the high and low P/Es for each of the past five years. You can also see the average P/E for the last five years as well as the current P/E. Information about the dividend yield also is offered.

Figures 7 & 8

Forecasting the high and low prices. The stock's P/E history will inform your judgments about the potential high and low prices. Multiply your predicted high P/E by the high EPS you calculated on the first page to determine the potential high price. Multiplying the expected low P/E by the low EPS (for a growth company, this often is the most recent year's earnings) is one way to predict the future low price.

Figures 9 & 10

Buy-Hold-Sell zones and upside-downside ratio. After calculating the potential high and low prices, you can use the SSG to determine whether the stock is reasonably priced. The upside-downside ratio compares the potential price increase to the potential price drop. Look for stocks that are both in the Buy zone and have an upside-downside ratio of at least 3 to 1; beware of abnormally large or small ratios.

Figure 11

Estimated average annual return over the next five years. In this final section, you'll learn about the stock's potential return over the next five years. This figure includes both the expected return from increases in the stock's price and predicted dividends.

Stocks and mutual funds mentioned in BetterInvesting Magazine *articles are used as illustrations or suggestions for study and are presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC's BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer or contributor in their own personal portfolios or in those of their clients.*

Infrastructure Act Bodes Well for Rental Equipment Provider

United Rentals, Inc.

Passage of the $1.2 trillion Infrastructure Investment and Jobs Act appears likely to aid the near-term results of United Rentals, Inc. (ticker: URI), the world's largest provider of rental construction equipment.

President Joseph R. Biden Jr. signed the amended legislation, commonly known as the Bipartisan Infrastructure Bill, on Nov. 15. The act provides funding for highway, rail, mass transit, motor carrier, transportation safety and hazard materials research projects, plus broadband access expansion and clean water and electric grid improvements.

Corporate management has projected that with few shovel-ready projects in place yet, the federal funding won't have a material effect on United's results for this year. Infrastructure construction funded by the act will likely ramp up in 2023, however, and contractors will need to lease the necessary heavy equipment from firms such as United.

Electrifying. United Rentals ordered 500 F-150 Lightning trucks from Ford in May. The trucks will be used by the company's customers on construction and industrial job sites and by its own sales, service and delivery personnel. Photo courtesy of Ford.

Even before the infrastructure bill was signed, United's management was upbeat about the company's near-term growth prospects. During the early phases of the pandemic, shelter-in-place orders and related restrictions on economic activity put a damper on United's results. In 2020 revenues fell 8.8% year over year; earnings per share declined 19.3%.

Revenue and earnings growth resumed in 2021, however, and the company recently has turned in strong results (*see table*). Late-pandemic demand among oil and natural gas customers was particularly solid. Management predicts continued improvement throughout this year and 2023.

The worsening of certain economic parameters may be driving growth. Geopolitical uncertainties, inflationary pressures and higher borrowing costs from rising interest rates have made renting equipment preferable to ownership.

Members of the Editorial Advisory and Securities Review Committee cautioned that United operates in a highly cyclical industry. Its share price consequently displays lots of volatility. Viewed as an infrastructure play, however, the stock has a current valuation that's potentially attractive, they suggested.

The stock's $274.15 close reported May 23 was 33.9% below the 52-week high of $414.99 recorded on Nov. 8. Its trailing 12-month price-earnings ratio was 12.9; the ratio for the S&P 500 was 20.1.

Based on figures Yahoo Finance reported, the ratio average for United and three competitors named by Morningstar was 21.0. CSIMarket, a financial data service, reported a TTM P/E ratio average for the rental and leasing industry of 5.4.

For P/E to projected growth, or PEG, Yahoo Finance reported a ratio of 0.9 for United based on an average five-year expected earnings growth rate. A range of no more than 1.0 to 1.5 is generally considered desirable.

Corporate Scaffolding

At the close of fiscal 2021 (ended Dec. 31, 2021) the company was operating 1,345 rental outlets, up 15.5% from 1,165 the year before. Of the 2021 total, 1,149 sites — 85.4% — were located in the U.S. Stores offer equipment falling into about 4,300 classes available for rent on an hourly, daily or monthly basis.

The size of United's North American branch network exceeds that of Sunbelt Rentals, the next-largest chain. Sunbelt, the primary division of Ashtead Group (AHTY), operates 929 sites in the United States.

Management estimates the company holds a market share of about 15% in North America. United does business in every state but Hawaii and in every Canadian province. The company has recently established limited presences in Europe, Australia and New Zealand.

The company serves construction, corporate, industrial, municipal, utility and homeowner end markets. In 2021 commercial construction constituted about 46% of total revenues; industrial, 50%; and residential, 4%.

In 2021 general rentals produced $7.4 billion — 75.7% of the $9.7 billion in total revenues. The unit supplies general construction and industrial equipment; aerial work platforms; general tools; and lighting equipment. Examples of the segment's offerings include backhoes, skid-steer loaders, earth movers, forklifts and other material handling equipment; aerial work platforms such as boom lifts and scissor lifts; and pressure washers, water pumps and power tools.

Specialty rentals generated $2.4 billion — 24.3%. The segment provides trench safety systems; HVAC and power

United Rentals, Inc.									
	2021 (ended 12/31/21)	2020 (ended 12/31/20)	% change	FY 2022 Q1	FY 2021 Q1	% change	FY 2022 year to date	FY 2021 year to date	% change
Net revenues	$9.7 billion	$8.5 billion	13.9%	$2.5 billion	$2.1 billion	22.7%	—	—	—
Net income*	$1.4 billion	$0.9 billion	55.8%.	$367.0 million	$203.0 million	80.8%	—	—	—
Diluted EPS*	$19.04	$12.20	56.1%	$5.05	$2.80	80.4%	—	—	—
Dividends	—	—	—	—	—	—	—	—	—

Stock exchange	NYSE	Value Line long-term earnings growth estimate	18.0%
Ticker symbol	URI	Consensus long-term earnings growth estimate (21 analysts)	22.9%
Price at time of selection	$269.92	FY ended April 2022 consensus EPS growth estimate	31.3%
Past year's price range	$262.76 – $414.99	FY ended April 2023 consensus EPS growth estimate	13.1%
Recent market price	$274.15	Recent price-earnings ratio**	12.9x
Market capitalization	$19.6 billion		

* Excluding nonrecurring and special items.

** The P/E ratio is based on diluted EPS of $21.31 for the four quarters ended March 31.

Sources: Morningstar, Yahoo Finance, Value Line and company reports

supply equipment; pumps used by industrial, mining, construction and agribusiness customers; and mobile storage equipment and modular office space.

In 2021 equipment rentals generated $8.2 billion — 84.5% of total revenues. Ancillary fees covering fuel, environmental costs, liability for damage to equipment, but chiefly delivery and pickup of rentals, contributed about 14% of the category's revenue.

The company sells used rental equipment from its inventory, which at year-end 2021 stood at about 780,000 units, up 26.8% from 615,000 the year before. The average age of company rentals stood at 4.5 years. Used sales generated $968 million, 10% of revenues.

United also sells some new equipment, which contributed $203 million — 2.1%.

The company distributes parts and provides services such as repair and maintenance, which produced $229 million — 2.4%. Sales of contractor supplies — tools, safety materials, small equipment and construction consumables — generated $109 million — 1.1%. In 2021 the company operated a fleet of about 12,900 vehicles for deliveries and related functions.

United Rentals was launched in 1997 and went public the same year. A team of entrepreneurs led by Bradley S. Jacobs created the corporation with an aim to begin consolidating the highly fragmented equipment rental industry.

Matthew J. Flannery, 57, was named president in March 2018 and also CEO in May 2019. He joined the company in 1998 after serving as an executive at McClinch Equipment Services, which United Rental acquired that year.

Flannery took over from Michael J. Kneeland, 68, who had served as chief executive since 2008. He became chairman upon Flannery's appointment. Kneeland joined the company in 1998, when United acquired Equipment Supply Company.

Competitors include Ashtead Group, Herc Holdings (HRI) and WillScot Mobile Mini Holding (WSC), Morningstar reported.

Building Bridges Overseas

United expanded beyond North America through a pair of recent acquisitions. In May 2021 the company acquired General Finance, a leading provider of mobile storage equipment and modular office space. The business previously operated as Pac-Van and Container King in Canada and as Royal Wolf in Australia and New Zealand.

The all-cash deal cost United just over $1 billion. In 2020 General Finance reported revenues of $342 million.

In July 2018 United entered the European market by acquiring BakerCorp International Holdings in an all-cash transaction valued at $715 million. Shortly before the acquisition BakerCorp had reported trailing 12-month revenues of $295 million. Doing business in North America, France, Germany, the Netherlands and the United Kingdom, BakerCorp produced tank, pump, filtration and trench shoring rental equipment that became part of United's specialty rentals unit.

In 2021 U.S. operations generated $8.8 billion — 90.2% of total revenues. United's international revenue amounted to $955 million — 9.8%.

The company had 139 locations in Canada at year-end 2021. The General Finance acquisition added locations in Australia and New Zealand. United gained 11 European sites through the BakerCorp deal.

United has long employed an aggressive acquisitions strategy. It reportedly completed several hundred mostly small business purchases in North America over the past 20 years.

The company completed a relatively large acquisition in October 2018 when it obtained BlueLine Rental for $2.1 billion in cash. The equipment rental business operated in the United States, Puerto Rico and Canada.

Final Notes

BetterInvesting Magazine featured United as the Stock to Study for February 2021. The company didn't appear in the Top 100 Survey of investor holdings for 2021 (*see the April 2022 issue*).

United's share total has fluctuated over the past 15 years. Since 2012 the company has bought back about $3.7 billion worth of shares under five repurchase programs.

In January United's board restarted the company's share repurchase program, which was suspended in March 2020 at the beginning of the pandemic. The board approved up to $1 billion for buybacks; management indicated the entire authorization likely will be spent by the end of this year.

The company doesn't pay a cash dividend nor does it offer a direct stock purchase plan. United Rentals shares haven't undergone any stock splits to date.

Needing to maintain a large inventory of equipment, the company is a capital-intensive enterprise with a relatively high debt level. United's indebtedness stood at about $9.7 billion in 2021.

More background on United and its industry, including the Value Line analyst and Value Line industry reports, can be found in the magazine section of the website. For more information contact Investor Relations, United Rentals, Inc., 100 First Stamford Place, Suite 700, Stamford, CT 06902–9200. B

Websites of Interest

United Rentals, Inc.
www.unitedrentals.com

Federal data on construction spending
www.census.gov/construction/c30/c30index.html

Construction Management Association of America
www.cmaanet.org/industry-news

— Reporting by contributing editor Kevin J. Lamiman

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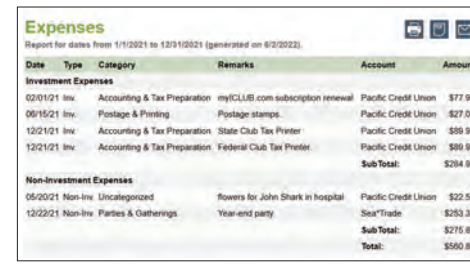
Track Your Investment Club's Expenses


Expenses
Report for dates from 1/1/2021 to 12/31/2021 (generated on 6/2/2022).

Date	Type	Category	Remarks	Account	Amount
Investment Expenses					
02/01/21	Inv.	Accounting & Tax Preparation	myICLUB.com subscription renewal	Pacific Credit Union	$77.99
06/15/21	Inv.	Postage & Printing	Postage stamps.	Pacific Credit Union	$27.00
12/21/21	Inv.	Accounting & Tax Preparation	State Club Tax Printer	Pacific Credit Union	$89.99
12/21/21	Inv.	Accounting & Tax Preparation	Federal Club Tax Printer	Pacific Credit Union	$89.99
				SubTotal:	$284.97
Non-Investment Expenses					
05/20/21	Non-Inv.	Uncategorized	flowers for John Shark in hospital	Pacific Credit Union	$22.56
12/22/21	Non-Inv.	Parties & Gatherings	Year-end party	Sea*Trade	$253.33
				SubTotal:	$275.89
				Total:	$560.86

Investment clubs typically pay expenses each year, including costs of both investment-related and non-investment items such as accounting software and tax preparation, postage, bank fees, research, BetterInvesting memberships, snacks, and gifts. **myICLUB.com** supports categorizing expenses as **Investment** or **Non-Investment**, and our latest update allows for selecting subcategories as well. In addition, the new myICLUB.com **Expense Report** helps members understand the costs that the club has incurred, for any period and, optionally, sub-totaled by category.

Reminder: IRS tax law no longer supports tax deductions for most investment expenses by individuals. Make sure that all club expenses are prudent and either help manage administrative tasks or support the club's aim of outperforming the market.

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Focusing on Today's Market May Obscure the Big Picture

Are Value Stocks Truly Trouncing Growth Stocks?

by Sam Levine, CFA, CMT, Contributing Editor

The S&P 500 is a convenient measure on whether the market has gone up or down and by how much, but often it's just not enough. An index is an average. It's rare for every stock in the market to fall or rise together. A falling broad market may have groups of stocks that are blowing the doors off or at least declining less than the index might suggest. An index like the S&P 500 may lead us to ignore critical subplots playing out over a market cycle.

5 Years of SPDR S&P 500 Growth ETF (Top Line) Vs. SPDR Portfolio S&P 500 Value ETF

One of the most important narratives missed by changes in S&P 500 levels is the divergence between growth and value stocks. The SPDR S&P 500 Growth ETF (ticker: SPYG) was down by 25.6% year to date as of mid-May. That's disheartening when compared to its value-focused counterpart, the SPDR Portfolio S&P 500 Value ETF (SPYV), which was only down by 7.6%. Are we doing everything wrong? Nope.

As big as that difference might be — and individual portfolios may even have it worse — we're not investing for six months. We're investing for lifetimes. If you look at a five-year chart, you'll see that growth has crushed value. Growth has also handily beat value since the last bull market that began in March 2009 (as of mid-May).

Granted, only time will tell whether that continues, but BetterInvesting has been around since 1951. BetterInvesting is a growth shop. We allow the market to do its thing while we continue to do ours. Our tools and education stresses buying stocks that we can hope to hold indefinitely or at least for as long as they continue to grow profits and revenue. If we do buy a stock too early, we're prepared to wait for the company to catch up with the stock price and expect that, over time, our patience will be rewarded. If we were value focused, we'd spend much more time thinking about what target prices are and we'd be ready to sell once a stock exceeded our estimate of what the stock is worth.

Though the performance difference between the two styles has narrowed compared to 2021's glory days, growth stocks have also become cheaper. They may become cheaper still. Value stocks may continue to narrow that performance differential and may even be the winners for a lot longer than one year or year-to-date numbers. We can use this opportunity to buy the growth stocks we pined for when they were priced far higher.

How about refining our techniques to identify when we should overweight value? It would be great if we could use our sixth sense to know when it's time to shift our portfolios from growth stocks to value stocks. Unfortunately, that's a tough nut to crack. If we shift between growth and value, we may miss out on the strongest moves, the ones at the beginning that can have outsized impacts on our wealth.

It's also challenging enough to be a growth investor without including value investing into the mix. Value investors focus on different metrics than us growthy people. It's unlikely to be worth the trouble learning value investing in addition to the BetterInvesting methodology when it's hard to know which framework is the most appropriate for a given moment in the market.

The growth versus value debate is also a distraction from what makes BetterInvesting unique. We're not focused on beating an index, though it's always nice when we do. There are 504 companies in the S&P 500 and thousands more U.S. stocks that aren't. Every one of them faces unique opportunities and challenges. Investors in any one of those companies could see returns very different from how the overall market performs over the same period.

Whether we're in a growthy market or a value market, our job description doesn't change. We want to own stock in great companies that will go the distance. We'll never time purchases and sales perfectly, nor will the market always do what we want when we want the market to do it. But we believe that owning and holding shares in great companies is good enough, and we can have fun doing it.

Epam Sytems Continues to Respond Well to Challenges of War in Ukraine

Model Portfolio Ropes in Texas Roadhouse

by Cy Lynch

Portfolio Overview

Reviewing Historical Stock and Portfolio Returns

The model portfolio's relative return since it began in October 2006 increased significantly since our last article in the face of the continued retreat for the market as a whole.

Our portfolio's relative performance is 4.1%, nearing our goal of 5.0%, based on its annualized total return of 11.7% compared to 7.6% for the stock market represented by the Vanguard Total Stock Market exchange-traded fund (ticker: VTI). The percentage of selections outperforming the stock market also increased to 51.2%, within our goal range of 50% to 55%.

Reviewing Fundamental Projections in Light of Latest Financial Reports

All companies in the portfolio, except for NetEase.com, Inc. (NTES), issued new financial reports and virtually all performed in line with our expectations. The biggest positive surprise is EPAM Systems on both business fundamentals and price performance. The company was seriously impacted by Russia's invasion of Ukraine as its largest concentration of workers is in Ukraine, followed by Belarus and Russia.

EPAM's sales for the quarter ended March 31 increased at 50%. Earnings per share declined from the same quarter last year due to the costs of relocating workers where possible and accelerated hiring in Central and Eastern Europe.

Management seems to be doing an excellent job of responding to the challenges presented by the war and the market has responded favorably. We will continue to hold EPAM and watch how things develop.

Anthem (ANTM), C.H. Robinson (CHRW) and TJX Companies (TJX) continue to outperform my projections for both sales growth and EPS increase. Cognizant Technologies (CTSH), Fastenal (FAST), Installed Business Products (IBP) and Sketchers (SKX) all reported both sales and EPS above my projections.

Bristol-Myers Squibb (BMY) and eBay (EBAY) continue to fall short of projections and we will continue to hold them for now and watch future performance closely.

The remaining companies reported more mixed results, though none out of line with expectations in the current challenging economic environment.

The portfolio's overall projected sales growth is 10.4% (*see graphic*), back above our goal of at least 10%. Value Line's "Median Price Appreciation Potential" (VLMAP) over the next three to five years for its standard edition stocks remains the same as last article at a nominal 60% (12.5% annualized). The minimum target return for the model portfolio is 17.5%, 5 percentage points over the expected market return. Projected overall total return for the model portfolio is 19.0%, well above our target.

Dining Out Continues to Increase and Provide Profit Opportunities

This month's feature, Texas Roadhouse, Inc. (TXRH), is a growing restaurant company operating predominantly in the casual dining segment with moderately priced, full-service restaurant chains. Since beginning in 1993, the company has grown to over 670 restaurants systemwide in 49 states and 10 foreign countries, including a total of 536 company-owned and franchised locations operating under the Texas Roadhouse brand.

The company also operates 36 Bubba's 33 sports bars and four Jaggers, which is their newest concept.

Texas Roadhouse is a moderately priced, full-service, casual dining restaurant concept offering an assortment of specially seasoned and aged steaks along with a selection of ribs, seafood, chicken, pork chops, pulled pork and vegetable plates, and an assortment of hamburgers, salads and sandwiches.

Bubba's 33 is a family friendly, sports restaurant concept featuring scratch-made burgers, pizza and wings as well as a variety of appetizers, sandwiches and dinner entrees, along with beer and signature drinks.

Jaggers is a fast-casual restaurant concept offering burgers, hand-breaded chicken tenders and chicken sandwiches and fresh salads tossed to order. Jaggers offers drive-thru, carry-out and dine-in service options.

With the exception of the COVID-19 impacted year of 2020, historical sales, pretax profits and EPS have increased consistently over the last 10 years, with each nearly paralleling each other. Over that time, sales grew 11.7%. Thanks mostly to falling income tax rates, EPS increased a little faster at 14.8%. I project sales to grow an average of 10% over the next five years, inline with Value Line's expectations and consistent with company goals.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer in his personal portfolio or those of his clients.

> "The minimum target return for the model portfolio is 17.5%.... Projected overall total return for the portfolio is 19.0%."

Over the last five years, pretax profit margins have ranged between a high of 8.0% and a low of 7.4%, averaging 7.8% (excluding 2020). I used this five-year average pretax margin of 7.8% as my projection over the next five years. I find Value Line's projected income tax rate over the next three to five years of 18% to be reasonable and I will use it as my projection. Diluted shares outstanding have remained relatively steady the past 10 years. I will use the currently outstanding diluted shares of 69.4 million as my projection for five years out.

These projections lead to an EPS of $5.42 in 2026. I will use the median high price-earnings ratio of 30.1x over the past 10 years as my projected high P/E. Combining these judgments leads to a forecast high price of $163.10 and potential total return of 19.3%, including a projected dividend yield of 1.5%.

Adding our regular contribution of $1,000 of Texas Roadhouse to our model portfolio leaves the portfolio projected sales growth and total return at 10.4% and 19.0%, respectively.

Texas Roadhouse Also Owns Bubba's 33, Jaggers Brand Restaurants

Stock	5/19/2022 value	% of portfolio before TXRH	% of portfolio after TXRH	Proj. sales growth	Proj. total return	Hist. return relative to market
Maximus, Inc.	**$5,801.85**	**3.3%**	**3.3%**	**12.0%**	**29.1%**	**(33.0)%**
Axos Financial	772.36	0.4	0.4	13.5	29.1	(14.2)
Skechers (purchased 3/12/20)	1,406.19	0.8	0.8	12.0	27.9	(18.3)
Skechers (purchased 3/8/22)	4,606.59	2.6	2.6	12.0	27.9	3.9
Starbucks Corp.	5,690.78	3.2	3.2	9.0	27.7	(39.9)
Lam Research Corp. (purchased 1/4/22)	663.10	0.4	0.4	14.0	26.8	(14.2)
Lam Research Corp. (purchased 3/8/22)	4,576.08	2.6	2.6	14.0	26.8	3.3
T. Rowe Price	1,751.68	1.0	1.0	9.0	25.5	(34.1)
Installed Building Products, Inc.	9,435.55	5.4	5.3	13.0	25.0	(3.2)
MKS Instruments (purchased 7/29/21)	749.82	0.4	0.4	12.0	22.9	(10.9)
MKS Instruments (purchased 3/8/22)	7,686.70	4.4	4.4	12.0	22.9	(12.1)
C.H. Robinson (purchased 5/31/13)	2,142.04	1.2	1.2	6.0	21.6	(53.2)
C.H. Robinson (purchased 6/30/14)	3,291.97	1.9	1.9	6.0	21.6	(31.7)
C.H. Robinson (purchased 7/6/15)	5,226.92	3.0	3.0	6.0	21.6	(17.0)
Alphabet (Google)	5,056.41	2.9	2.9	18.0	21.4	252.5
FedEx Corp.	878.77	0.5	0.5	7.0	20.8	2.6
Regeneron Pharmaceuticals	1,396.32	0.8	0.8	9.0	19.6	43.4
II-VI, Inc. (purchased 12/5/18)	1,650.35	0.9	0.9	14.0	19.5	18.3
II-VI, Inc. (purchased 10/10/19)	10,461.26	6.0	5.9	14.0	19.5	49.8
NetEase.com, Inc.	11,165.11	6.4	6.3	11.0	19.0	789.3
eBay Inc. (purchased 3/7/14)	1,842.28	1.0	1.0	7.0	18.5	(41.4)
eBay Inc. (purchased 6/30/14)	3,876.83	2.2	2.2	7.0	18.5	1.0
Genpact Limited	1,001.21	0.6	0.6	9.0	17.8	(0.2)
Cognizant (purchased 6/3/08)	4,210.78	2.4	2.4	7.0	17.4	59.2
Cognizant (purchased 8/6/10)	3,151.60	1.8	1.8	7.0	17.4	(93.4)
LKQ Corp.	4,906.26	2.8	2.8	9.0	17.3	(9.4)
CVS Health Corp. (purchased 7/27/16)	6,382.23	3.6	3.6	8.0	17.1	(78.1)
CVS Health Corp. (purchased 2/7/18)	5,537.83	3.2	3.1	8.0	17.1	(14.2)
Gentex Corp. (purchased 9/5/14)	3,806.12	2.2	2.2	10.0	16.5	20.1
Gentex Corp. (purchased 7/6/15)	5,760.17	3.3	3.3	10.0	16.5	1.9
AbbVie, Inc. (purchased 7/31/20)	11,201.45	6.4	6.3	11.0	15.4	41.4
AbbVie, Inc. (purchased 10/9/20)	3,639.77	2.1	2.1	11.0	15.4	18.9
First Financial Bankshares	4,015.73	2.3	2.3	9.0	14.4	8.5
EPAM Systems, Inc.	1,720.18	1.0	1.0	15.0	14.2	11.3
TJX Companies, Inc.	6,391.51	3.6	3.6	9.0	13.5	19.4
Fastenal	5,815.14	3.3	3.3	9.0	13.4	89.2
Bristol-Myers Squibb	3,241.93	1.8	1.8	8.0	12.5	20.6
MSC Industrial Direct	1,420.99	0.8	0.8	7.0	12.4	(113.4)
Anthem	7,185.51	4.1	4.1	8.0	12.2	353.6
Booking Holdings (purchased 8/31/18)	1,077.81	0.6	0.6	14.0	8.9	(28.1)
Booking Holdings, Inc. (purchased 4/15/19)	4,922.68	2.8	2.8	14.0	8.9	(21.2)
Totals before TXRH	**175,517.86**			**10.4**	**19.0**	
Texas Roadhouse, Inc.	1,000.00		0.6	10.0	19.3	
Portfolio Totals after TXRH	**176,517.86**			**10.4**	**19.0**	

Admiral Class Mutual Fund Holds About 40% in Stocks

Vanguard Wellesley Offers a Conservative Balance

by Danielle Schultz, CFP, CDFA, Contributing Editor

What do you do if you've "aged out" of a target retirement fund? If you've already retired, or are about to, those target dates won't have much meaning any more. Most will move you along into an income and safety-oriented fund, or at least say that's what they're doing; with current rates, straight yield can be hard to find.

Many retirees might like a fund such as the Vanguard Wellesley Income Fund Admiral Shares (ticker: VWIAX) where they can roll over a 401(k) and not have to worry too much about it afterwards. It's easier to collect the yield, sell some shares and manage required minimum distributions if you're only working with one fund. BetterInvesting-style investors with a collection of individual funds or stocks may want to segregate one account or portfolio segment for the relatively lower risk of an income-oriented fund.

By the way, don't confuse Wellesley with another well-regarded Vanguard fund, the Wellington. They are both named for Arthur Wellesley, the Duke of Wellington who defeated Napoleon's forces at Waterloo. Although honoring the same person, they are not the same fund.

Performance

With safety and yield, however, go lower total returns. That may be just fine if you're looking to hold on to what you have rather than take more risk in the hopes of more money. In retirement, your risk should be commensurate with providing the income you need and growth necessary to keep pace with inflation, while maintaining the possibility that your money will last as long as you do.

Compare a few income-oriented funds. First see the chart on the bottom of this page. For an additional comparison, see the chart on the top left of the next page for how Vanguard's Wellington (WENX) does against the S&P 500.

The days of safety and high yield are gone, at least for now. In general, if you select a fund for high yield, it will either be risky or have low total return — the yield is all you get.

In considering income funds, it's very important to evaluate not only yield (mostly money paid out to you in dividends), but also total return (dividends plus share appreciation). There can be a big difference, but you'll need to realize total income by some share sales as well as collecting dividends. This total return is where Wellesley really shines, compared to other income-oriented funds. See the chart on the top right of the next page. Compare this to the return of the Wellington Fund on the chart on the bottom left of the next page.

If you compare the standard deviation risk measures, the total returns and the final values, you'll see how clearly that investing rewards risk, but that you can meet your retirement income withdrawal goals plus inflation by taking a bit less risk. How will you feel most secure?

Portfolio and Management

Wellesley is a balanced fund tilted toward the fixed income side, with about 40% stocks (less than 3% ex-U.S.) and about 60% bonds and cash. Bonds are entirely BBB or better. The top 10 holdings are well- known conservative stocks concentrated in financials and established consumer companies. There's not much excitement here, but there should be few surprises as well. The 10 top holdings are:

- **JP Morgan/Chase**
- **Cisco Systems**
- **Procter & Gamble**
- **Johnson & Johnson**
- **The Home Depot**
- **Pfizer**
- **Bank of America**
- **Morgan Stanley**
- **Comcast**
- **Chubb Ltd.**

There are management changes happening this year at Wellesley, but it's more of a bringing up of the substantial back bench — Michael Reckmeyer (stock side since 2007) is retiring, but will be replaced by Matthew Hand, who has been on the team since 2004. On the

Vanguard Wellesley's Yield Compared to Some Income-Oriented Funds

Fund	Yield	Standard Deviation
Vanguard Wellesley (VWIAX)	2.52%	7.51
Vanguard Target Retirement Income Fund (VTINX)	2.48	6.15
Fidelity Freedom Index Income Fund (FIKFX)	1.46	4.20

Vanguard Wellington's Yield Compared to Vanguard S&P 500 Index Fund

Fund	Yield	Standard Deviation
Vanguard Wellington (VWENX)	1.71	11.84
Vanguard S&P 500 Index Fund (VFIAX)	1.33	17.76

Comparing Total Return of Wellesley and Other Funds

Fund	3 year annualized total return %	5 year %	10 year %	Value of $10,000 after 10 years (all payouts reinvested)
Vanguard Wellesley	6.54%	6.37%	6.77%	$19,881
Vanguard Target Retirement Income (VTINX)	4.79	4.84	4.76	16,499
Fidelity Freedom Index Income (FIKFX)	3.47	3.71	3.35	14,212

Vanguard Wellington's Return Compared to S&P 500 Index Fund

Fund	3 year annualized total return %	5 year %	10 year %	Value of $10,000 after 10 years (payouts reinvested)
Vanguard Wellington	10.26%	9.81%	9.87%	$27,042
Vanguard S&P 500	16.67	15.56	14.56	42,662

Source for charts: Morningstar as of April 18

bond side, Loren Moran became the manager in 2021, having joined the team in 2014. There shouldn't be any surprise change in fund focus.

Investing Philosophy

Management appears to look for "wide-moat" companies — companies that have little competition in their area or so dominate the market that it would be difficult to replicate their activities. Portfolio managers (obviously) keep an eye out for strong dividend payers and attractive valuations. Bonds concentrate on corporate issues, with 80% in A and BBB classes (which, while still considered investment quality, tend to pay more than the highest-class AAA bonds).

Costs

Wellesley has a low management expense of 0.16% and is no-load. Minimum investment for the Admiral class is $50,000; however, the Investor class (VWINX, with management expense of 0.23%) has a minimum investment of $3,000. Since the intended purpose of this fund is providing income by capturing a significant part of an investor's portfolio, the $50,000 threshold doesn't seem inordinate.

Note, there is no corresponding exchange-traded fund.

Caveats

This fund is not intended for the aggressive investor, nor the investor bent on maximizing the return on the investment, no matter the risk. This is a conservative fund intended to provide stable income while offering peace of mind. Like all investments except cash, you must be able to weather some volatility, but the investment mix should control those swings to a level acceptable for a conservative investor, who still seeks respectable return.

As with most target-date and balanced funds, Wellesley is intended to be a (mostly) all purpose solution. You shouldn't muck up the mix by adding, say, several other balanced or target funds — pick the risk level that suits you, and place your investment cash into one fund. If allocating a portion of your portfolio to this core holding allows you to (responsibly) choose riskier investments for another portion, you've put a solid floor under your total investment array.

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Mutual funds mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Mutual Funds discussed may be held by the writer in her personal portfolio or those of her clients.

Consider All Your Accounts When Reviewing Your Allocations

When to Rebalance

by Danielle Schultz, CFP, CDFA, Contributing Editor

Whenever the market gyrates, many people get scared. If it's very high, we worry that it's about to drop or that everything is so highly priced there are no bargains to be found. When it drops, we're fearful that we've lost so much money our security is threatened. What actions should we take?

Choosing a Different Balance

During the first few months of 2022, many of us were euphoric — we'd never seen out total portfolios with such a high worth. But then, in the second quarter (as I write this), the market dropped and gave up much of the gain we were so delighted with. It's easy to feel like a genius in a rising market, and to question all your choices when that market plunges, even though you did nothing differently.

As the quip goes, "Don't just do something, stand there." Periods of extreme swings in the market are the worst time to make dramatic changes in your portfolio. Too many people panic into selling into cash, but have no ability to determine the right moment to jump back in. They lose on the downswing, but also lose because they aren't in the market for the upswing. This is the very definition of selling low and buying high (or not at all) — the very opposite of what you, as a savvy investor, should do.

Staying relatively calm is easier if this isn't your first rodeo. In a lifetime of investing (and a long retirement), you've had experience in both soaring and sinking markets. You'll know enough to stay the course you've set, if it was well-chosen.

If you're relatively new to investing, or your circumstances have changed (for example, you've just retired or inherited a large sum), you may find it difficult to sleep or avoid checking your portfolio very frequently, with dismay. The first strategy you might consider is — don't look. If you have a long runway before you will tap the money, or can wait for a couple of years, you can sit back and wait without feeling frenzied about short-term changes. It's also easier to accept gyrations if, even with a loss, you have plenty of money to continue with your plans.

If market dips are genuinely terrifying you, you've just learned something important about your investing psychology. You are more risk-averse than you thought! You should definitely take or retake a risk assessment. Many investment and brokerage houses have free questionnaires online or you can search for an investment risk tolerance questionnaire. This can give you valuable feedback, particularly if it reveals a different score than you anticipated. Maybe even take more than one; some of the jargon can influence your answers. Be aware that your age can heavily influence your score. I've found that my age score results in a recommendation for a much more conservative asset mix than I hold. Still, it's a useful place to start.

Most of these questionnaires will recommend a balance between equities (stocks and stock funds) and fixed income (bonds and bond funds, stable value funds and cash). The no-brainer way to accomplish this is to select a balanced fund that automatically rebalances for you. They're available in just about any mix, from 70/30 to a much more conservative blend. Or you can of course pick a target retirement fund that will rebalance more conservatively over time or life cycle funds that offer the spectrum from aggressive growth to very conservative.

Which Assets?

If you've already assembled a portfolio of stocks and mutual funds, you should first scrutinize what you own for overlap. For example, if you own a total stock market fund, an S&P 500 fund, and Apple and Microsoft, there's probably a 100% overlap in your investments. In order to achieve maximum diversity, you want each investment to be as unique as possible. In this example, you might consider merging the two funds and counting the individual stocks as part of the total amount you've allocated to the large-cap sector. Next, you need to compare your current holdings to the allocations you chose when building your portfolio. The simplest allocation is U.S. stock market/international stock market/bonds (usually U.S.). From there you can subdivide into:

- **different market caps;**
- **developed or emerging markets or different regions;**
- **different types of bonds (U.S., international)**;
- **TIPS (Treasury inflation-protected securities, municipal, cash**).

There are many resources online for asset allocation design. Search for "asset allocation models." As with all free advice, treat these models with a healthy degree of skepticism as a source for ideas, especially if the advice comes from a single investment company. You might also read authors who have written extensively on this topic: John Bogle, William Bernstein and Rick Ferri to get you started.

Third, check which of your assets and mutual fund types are up or down. If any have far exceeded their target percentages in the portfolio, those are the ones to sell and rebalance into asset classes that are below their target

percentages. But wait, there's one more consideration!

Do you need cash from your portfolio, either for spending or because you must take a required minimum distribution? (RMDs can also be taken by transferring stock, but start the process with plenty of lead before the year-end deadline.) The cash needs should either be taken from the investments that are up, or in the case of individual stocks, by following BetterInvesting principles as to when to sell. Then rebalance what is left to target percentages.

Timing

I favor rebalancing once a year, at a regular time — late January, September, whatever. Probably the months to avoid are December (when many funds make distributions at the end of the year) and early January (when many people contribute or withdraw from retirement plans). If you choose a regular time, you rebalance no matter what the market is doing at that specific time, because no matter when you choose, some assets will be up and others down. It's very unlikely that you can pick the best or worst day in the market for any or all assets.

Research has suggested that rebalancing more frequently has no advantage and makes you more likely to catch the vagaries of the current market. But there is some indication that rebalancing more infrequently than once a year might result in better performance.

Why? Because your portfolio will become more heavily equity oriented, as equities perform better than fixed income over the long term.

Another method is to set guardrails. Again, you should probably not rebalance at random times, but set specific intervals to review the positions — say, quarterly or yearly. If the asset class is out of whack with its target by a specific percentage, you rebalance. Otherwise, you don't bother. For example, let's say my portfolio is targeted to have 10% invested in real estate investment trust funds. If I review it and REITs now make up 9.5% or 10.5% of the portfolio, I do nothing with that asset. But if they now make up 12.5% of the portfolio, I sell enough to bring it down to 10%; if they are now 8%, I buy enough to raise the investment to 10%.

> **"If you choose a regular time, you rebalance no matter what the market is doing at that time."**

Or you can set simpler guardrails. Let's say you have selected a mix of 70% equities/30% fixed income. You sell only if total equities exceed 85%, for example, and transfer that to fixed income.

How should you handle a large lump sum, perhaps from an inheritance, payout from an executive savings plan or cash rollover from a retirement plan? There's no shame in letting money sit in a savings or money market account until you have a clear plan. Then use it to bring your new total portfolio amount into balance, adding to investments that need to be topped up.

Tax Considerations

I advise treating your entire portfolio as one when determining asset allocation. However, you should try to house specific assets in the most tax-savvy account placements: bond and bond funds, REITs and commodity funds are usually best held in retirement accounts. (Although bond funds usually pay so little it's not as big a consideration as it once was.) If you are selling to rebalance in a taxable fund, you're going to have capital gains. Remember that these are generally taxed at a lower rate than dividends, ordinary income or RMDs from retirement funds. If you want spendable money, you're going to have a rendezvous with the Internal Revenue Service at some point. If you are very close to retirement or anticipate a year where your income is significantly lower, you might temporarily want to delay rebalancing in taxable funds. But it's entirely possible to lose more on a certain investment than selling at a profit and paying what taxes would cost you.

It does occur that you don't have enough in the perfect tax "home" to create a fully balanced portfolio. Also, it can be painful to slot every penny of a small account (say, a $30,000 IRA) into one investment and see it drop dramatically. We tend to review each account separately and see how they're doing against another, but this is wrong. Remember to look at the big picture. For relatively small accounts, it can be easier to put the totality into a balanced fund with the mix you've selected and balance the rest of the portfolio separately.

Whatever you do, write down your plan and rules. It will help you to remain clear-headed when the market tempts you to panic.

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Other Measures of Profitability Need to Be Reviewed

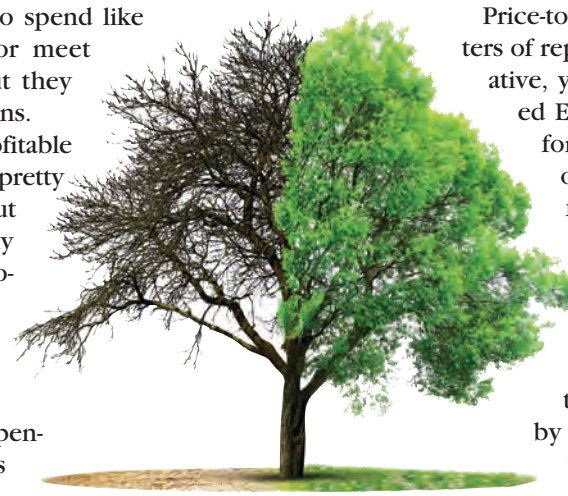
Analyzing Stocks With Negative Earnings

by Sam Levine, CFA, CMT, Contributing Editor

BetterInvesting doesn't encourage owning stocks that aren't generating earnings. We prefer consistently profitable companies. But earnings are only one measure of profitability. They're accounting conventions.

A company can generate tons of cash but still report negative earnings due to write-downs of assets, depreciation or a change in its accounting methods. And also there are companies that might be exceptionally promising but are still new to the market. They can take years to report positive earnings per share because they need to spend like crazy to build their market or meet demand for a hot product, but they can also produce outsized returns.

So how can we analyze unprofitable companies? They won't look too pretty on the Stock Selection Guide. But if you're still drawn to a company because of its products or its potential to recover from a temporary setback, here are tools that might offer some insights.



They're best used to help evaluate whether a stock is expensive or cheap compared to its peer group. They won't be as useful for estimating a stock's target price because, for all of EPS's weaknesses in describing profitability, it's still the best measure available.

Consider trying these ratios below in the order presented here. If one doesn't make sense for the situation, move on to the next one.

Price to Smoothed Earnings

Some industries are very sensitive to the business cycle. Cyclical firms have high costs and buyers have discretion over when they can time their purchases. Automobile manufacturers are cyclical. When the market was concerned about a potential recession, it wasn't surprising that Ford traded at a trailing price-earnings ratio of around 4.

But we also know that as the economy strengthens, buyer demand will pick up. If we believe Ford or any other cyclical company has the wherewithal to withstand a recession, we could choose a ratio that covers a wide range of economic conditions.

The Shiller Cyclically Adjusted Price to Earnings ratio (CAPE ratio) uses the average of the past 10 years of inflation adjusted earnings to approximate a long-term earning number. You can choose your own range too, if you wish.

Price to Next Year's Earnings

A negative price-earnings ratio is meaningless. The P/E measures how much investors are paying for a company's earnings. A stock with a dollar EPS loss of $1 priced at $20 per share would have a negative P/E of 20. That implies investors are willing to pay $20 for the privilege of investing another dollar, which is obviously false.

Price-to-earnings uses the past four quarters of reported earnings, but if that's negative, you can use next year's forecasted EPS instead. That's known as the forward P/E ratio. The advantage of a forward P/E ratio is that it's focused on the future. The disadvantage is that it's an estimate, and we all know estimates can be wrong.

Most investors use the consensus estimated EPS, which is the average of the forecasts made by analysts following the stock. If you're comfortable forecasting earnings yourself, then you can use your own estimate.

> **"Unprofitable companies are marching in the wrong direction already, so there is less room for error."**

Make sure you use forward P/E consistently. When you're comparing a stock to its peers, use the peers' forward P/E ratios as well. Also remember that a different group of analysts may follow each stock, so the forecasts might not be perfectly comparable with each other.

Thinly traded stocks may be followed by only a few analysts, so those consensus numbers may be thrown out of whack by a wild-eyed analyst with an outlier estimate.

Price-to-Book Value

A company's book value is its assets minus liabilities, excluding dividends. Price-to-book used to be a go-to measure for value-focused analysts, but it was most popular in the Industrial Age, when companies' values were tied to tangible assets like factories, inventories and buildings instead of the intellectual property that makes up so much of stocks' value today.

Asset values can be tricky. Assets are carried at cost minus depreciation or, in some cases, depletion. A factory may have been built for $20 million and, after depreciation, be on the books at $10 million. But the market value of the factory could easily be $40 million if it's appreciated across many years.

One notable exception: banking activities. Banks borrow money through deposits and lend them out as loans.

The difference between the value of a bank's assets (the loans) and its liabilities (the deposits) is easy to measure and those net assets contribute to earnings.

Unfortunately, many banks also use derivatives and engage in trading that clouds earnings outlooks. That explains why bank stocks can trade at discounts to their book values.

You can adjust reported book values as you see fit to get closer to the theoretical ideal figure, an adjusted book value that reflects the market value of assets minus the market value of liabilities, but that may well be impossible, or at least impractical. But the more tangible and easily priced the assets and liabilities, the more useful price-to-book can be.

You should use the same care comparing book ratios between differrent companies as you do with forward P/Es: Different sectors and industries aren't easily comparable because highly profitable industries make more from their net assets and will deserve higher price-to-book ratios than industries that earn less on their net assets.

Price to Free Cash Flow

Many analysts prefer using free cash flow ratios to those that use earnings. Free cash flow is a company's net cash in minus capital expenditures. Capex is deducted because it's necessary to maintain or grow the firm's production capacity.

Analysts have different takes on what "net cash in" is so, again, keep it consistent. Instead of using total cash generated on the bottom of the cash flow statement, you might prefer to use cash flows from operations, because that's a better measure of the company's core business. If we consider total cash generated, chief financial officers could goose cash in by borrowing. Luckily, we can spot that in the cash flow from financing activities section, but it's easier to just use cash flows from operations.

Price-to-Sales

I'll summarize my feelings about price-to-sales ratios in one carefully chosen word: meh. Revenue alone doesn't tell us much about the value of a company. Price-to-sales is only appropriate when the company is being compared with other stocks with similar profit margins and, hey, we're not looking at a profitable company. This ratio has led many an initial public offering investor disappointed when their stock couldn't make the big leap from sales to profitable growth.

Like most investing ratios, these ratios are easy to calculate and even easier to interpret. If one company has a lower price-to-sales ratio than another, then, at least by that measure, it's "cheaper."

When we use the price-to-book ratio, we're answering how much we would pay for a dollar of the company's book value.

Those parts are easy. But rarely is the saying "garbage in, garbage out" more relevant. Unprofitable companies are marching in the wrong direction already, so there's less room for error. Before investing in one, be confident you're choosing the right tools, inputs and relying on the right assumptions. B

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Today's Alternative Electricity Sources Are Flawed, but New Discoveries Appear Promising

Green Energy: a Luxury Today, but Not Tomorrow

by Vitaliy N. Katsenelson, CFA, CIO of Investment Management Associates

This article from Vitaliy Katsenelson includes discussion of assets mentioned only for educational purposes; no investment recommendations are intended.

For more articles, go to Vitaliy's Contrarian Edge website (www.contrarianedge.com). You can sign up at the site to receive articles by email.

Question: How is our portfolio going to be impacted by the transition to new "greener" energy sources?
(VK: I rephrased the question.)

Answer: The transition to "green" energy will be rocky, expensive, and not-so-green — our CO_2 emissions will likely go on rising. The beauty of being in my seat: IMA clients are not paying me for political views or political correctness. I am getting paid for pragmatism. Let me make this point clear — I want clean air and I don't want temperatures to rise.

Really, my co-workers at IMA put a parka on when they come into my 65 degree overly air-conditioned office. Spending the formative years of my life in Murmansk, a city located above the Arctic Circle, where the ground was permafrost, must have rewritten my DNA. As you can see, I have personal reasons not to be a fan of global warming. I also very much want to leave a better planet for future generations.

Now that I have hopefully convinced you that "Big Oil" is not my middle name, let's discuss a topic that should not be politically sensitive but somehow is — energy. Solar and wind are not good sole sources of energy — they are intermittent, relying on the kindness of Mother Nature, who is temperamental and not always kind. To compensate for this weakness in our green sources, when Mother Nature takes a break, we need either cheap and ample batteries (we have neither), or to turn on peak demand power plants that run on natural gas (if we are lucky) or coal.

Being rich has allowed us to develop what some call "luxury beliefs" — ideas and beliefs that make us feel good about ourselves but that horribly fail upon contact with objective reality. We ignore inconvenient truths about our green energy weaknesses and keep marching on, trying to convert an even larger portion of our economy to wind and solar power.

The U.S. is not the only country that is inhibited by luxury beliefs. Take Germany for instance. After Japan's Fukushima incident, it gave up nuclear and went "green." Except that "green" was anything but. Germany's CO_2 emissions went up and so did its electricity prices. Yes, the coal-fired peak power plants that Germany uses to provide electricity on the days when the wind doesn't blow or the sun doesn't shine are more expensive and produce more greenhouse gazes than nuclear power plants. Another example, just a few months ago, electricity prices in Europe skyrocketed because (I kid you not), the wind stopped blowing in the North Sea.

When it comes to power generation, luxury beliefs are dangerous. Electricity is anything but a luxury; it is a necessity. In addition to powering the internet, which allows us to watch cat videos on Facebook, it is what separates our society from our ancestors in the Stone Age. As we keep decommissioning nuclear power plants and going "green," in the end we'll go "brown" as our CO_2 levels mount, or in the worst case it will simply be lights out as we are forced to ration power.

China is not as rich as we are and struggles with horrendous air pollution that must be killing tens of thousands of people a year. China cannot afford luxury beliefs; it is pragmatic. It has announced that it will be building 150 (!) nuclear power plants over the next 20 years.

Still, I am optimistic about future greener, more stable sources of energy. Billions of dollars are being poured into research and development of alternatives to fossil fuels. Just as we have seen with COVID-19 vaccines, if incentives are high enough, scientists and entrepreneurs make great efforts and success follows. This is the beauty of capitalism. Unfortunately, for the short run, and fortunately, for the long run, there is a good chance these incentives will only become greater over the next few years, as energy costs globally are likely to skyrocket.

Doubling or tripling electricity bills and $6-$9 gas prices will bring pragmatism back and divorce us from luxury beliefs in solar and wind. I have a hunch higher energy prices will trigger more politicians calling for Federal Trade Commission investigations into utilities and energy companies.

Politicians know the true cause of high energy costs: the capital cycle (low oil and natural gas prices result in less exploration and production of oil) and their own policies (throwing sticks in the wheels of energy and pipeline companies, decommissioning nuclear power plants, doubling down on wind and solar). Politicians will deflect their responsibility onto "evil big oil." I really don't want to come back in my next life as an oil company — I'm damned if I produce and damned if I don't.

Donating to Charity

How to Ensure Your Dollars Make The Most Impact

by Danielle Schultz, CFP, CDFA

We think pretty carefully about how we invest our money, trying to choose good companies that will produce expected results (or surprise us with better returns), don't waste too much on nonessentials, and increasingly, operate businesses whose objectives we are comfortable with.

With charitable giving, many of us take a more scattershot approach. There are so many to choose from . . . envelopes that arrive in the mail, pleading emails, heartbreaking television commercials, appeals from acquaintances on social media and pathetic requests for crowd-funding contributions. How can you sort through these in order to make your hard-earned dollars have maximum impact? Should you use investing practices to get maximum impact return for your charitable contributions?

Target Priorities

It can feel like no matter where you look, somebody has their hand out. On the other hand, most of us can easily think of changes we'd like to see in this world. Consider selecting specific causes you care about most, then choosing the best charity that works for those causes.

Instead of sending $10 or $25 to every appeal that enters your mailbox or sends you an email, concentrate your money (as you would your investments) on those that seem most promising, are best run, and have the potential to accomplish or work toward your objectives. Giving larger amounts to fewer organizations can save them money as well, in promotion and administrative costs. (You can ask others to remove you from their lists.)

Some possible considerations for your donations — do you care most about:

- **Global or domestic issue**s, one country, or local?
- **Health care, education, food assistance**, environment, peace, human rights?
- **All humans and beings**, or specifically women, children or animals?
- **Run by nonsectarian leadership** or religious organizations?
- **Museums and art organizations?**
- **Loyalty and support for a specific membership group,** educational institution, illness-focused institution or research organization?

There are certainly many other concerns and you can pick more than one, but it makes more financial im-

pact, and involves you more personally, if you determine your priorities and focus your donations. (Also, be aware that most political donations and lobbying organizations are not charities for tax purposes. You may choose to support them, but remember there are no tax benefits and donations may be limited.)

Budget Your Donations

What's the right amount to give? How much is too little and what's too much? Many religious traditions request you donate a 10th (tithe) of your income either to the specific religion or to charity in general. Some faiths have times of the year when donations are particularly encouraged (e.g., Lent, Ramadan, Yom Kippur). Americans tend to concentrate donations at the end of the year.

In his book and website, "The Life You Can Save," bioethicist Peter Singer discuses many issues to consider in charitable giving and provides helpful guidelines (*see the graphic at right*.) His website also has an updated giving calculator for visitors to use. See **www.thelifeyoucansave.org** for further explanation.

You and I may not have the same priorities as Singer, but this table has seemed reasonable and doable for my clients. Of course, some donate much more, and some, sadly, nothing at all. A $1,000 donation split among five charities will be happily received!

I recommend apportioning every paycheck, self-employed fee or retirement check among specific categories, every time such checks comes in. It's much easier to save 1% or 5% of each check into a specific savings account than it is to come up with a large lump sum at the end of the year (for any expenses!) .You can then distribute the balance to your planned organizations, either once it reaches a specific level, once a quarter or once a year.

Tax-Savvy Giving and Large-Sum Investing

With the changes in the standard deduction, it's become more difficult to deduct contributions to charity. If you give significant amounts, you may be able to bunch donations together into every-other-year giving in order to have enough to itemize on your taxes instead of taking the standard deduction. There were special pandemic era deductions of $300 single/ $600 couple for 2021, but as of this writing they have not been renewed for 2022.

If you have a large payout from a taxable corporate buyout or executive savings plan and have charitable intent, you might consider contributing to a donor-advised fund or to a charitable annuity.

Either of these would allow you to make a large contribution in one year, giving you a large deduction and perhaps allowing you to itemize. It's not a one-to-one trade-off with the amount of taxes you'll owe, but might reduce taxes while giving you the opportunity to donate in a tax-savvy manner. (*See my article in the August 2021 issue for a full discussion of these.*)

Evaluating the Charity

There are several services designed to help you evaluate a charity and you should check them out before donating. Of course, just as with investments, there can be surprise events or untruthful reporting, and we investors all resign ourselves to some mistakes. But that's no reason to quit!

Of course, no organization is able to function without some administrative and fundraising expenses, and some haven't been operating long enough or are difficult to quantify their impact. The New York Times has reported that administrative expenses should not exceed 25%. As with companies, you also don't want to see them hoarding a pile of cash; money should be back out working for the organization.

There are also charity watchdogs available to help. On Charity Navigator you can search for a specific charity or get suggestions for specific issues or concerns. Once you identify a charity, Charity Navigator rates them by stars and lets you scrutinize the charity for how much is spent on fundraising and administrative expenses, whether the charity actually has impact on the aims it designates, etc. Be aware, however, that Charity Navigator tends to be pretty

Charitable Donation Table Suggested by Bioethicist Peter Singer in 'The Life You Can Save'

Income Bracket	Donation
Less than $105,000	At least 1% of your income, getting closer to 5% as your income approaches $105,000.
$105,001 — $148,000	5%
$148,001 — $383,000	5% of the first $148,000 and 10% of the remainder.
$383,001 — $600,000	5% of the first $148,000, 10% of the next $235,000 and 15% of the remainder.
$600,001 — $1.9M	5% of the first $148,000, 10% of the next $235,000, 15% of the next $217,000 and 20% of the remainder.
$1.91M — $10.7M	5% of the first $148,000, 10% of the next $235,000, 15% of the next $217,000, 20% of the next $1.3M and 25% of the remainder.
Over $10.7M	5% of the first $148,000, 10% of the next $235,000, 15% of the next $217,000, 20% of the next $1.3M, 25% of the next $8.8M and 33.33% of the remainder.

indulgent in their ratings: they have given four-star ratings to organizations that spend far more than 25% on administration. Skepticism in all investing is still a wise quality to have, even with charitable giving.

CharityWatch also examines and rates about 600 charities. The organization bills itself as donor-focused, rather than charity-supportive. If the charity you're interested in is covered by them, compare their evaluations to what you find from other services.

GuideStar now requires a lengthy process for basic membership, and you can only obtain financial analytics if you pay for a premium membership. They do have links to the charity's Internal Revenue Service 590 form, which you can scrutinize for salaries, revenue, etc. Although well-known, I don't find GuideStar all that useful anymore.

GiveWell selects a few top charities, then encourages you to donate to GiveWell to direct your funds to those selected organizations. It's a way to simplify your donations by vetting charities for you or perhaps a source of ideas for individual organizations you might want to consider.

The Life You Can Save has a collection of charities they believe are best-in-class. You can donate to one of their funds or select one of their recommended individual charities for a donation.

Google it! Investigative reporters have uncovered mismanagement and overspending among some charities and recent articles may not show up on charity evaluation services. It never hurts to know as much as possible, wherever you put your money.

Just as we review more than one source of information on our investments, it's worth checking out several of these services for ideas, commentary and potentially different evaluations. It's also important to remember that some small and local charities may not be rated by these services. In that case, you can request financial information or may be able to find someone locally who knows the organization. Almost all charities will have a Facebook or other social media presence or an email newsletter to which you can subscribe. This is an excellent way to learn more about the charity's activities and values, and to form a personal connection to where your money is going.

Sending Money

If you're on Facebook, your friends probably run fundraisers. Facebook doesn't charge for these and if you get up early enough on Giving Tuesday (the Tuesday after Thanksgiving), Facebook will double your gift until the pool of money runs out. A charity must have this set up on their FB page, so check ahead of time, particularly if you want to donate to a small or local charity. If you use a credit card or PayPal, the charity will be charged a fee and won't get your entire donation. You can circumvent this by donating by bank draft directly on the charity's website, mailing them an actual check or having your bank send a payment directly.

If you do use a credit card, make sure you are selecting either one-time payment or monthly contribution — no surprises!

Other Ways to Direct Dollars

Many charities offer premiums or perks for donors. If you don't want that tote bag or umbrella, of course turn it down and save the charity some cost (but it's advertising for them). If the premium causes you to donate more, or you're invited to an event that causes you to be more engaged with the organization, I don't see anything wrong with enjoying your giving.

Many, many charities have catalogs. You can easily find home decor, clothing, jewelry, children's toys, food and themed products from any number of international, animal-oriented, and environmental groups. Nearly every museum has a gift shop or catalog, and prices from these sources can be less than items in a retail store. Sure, it's not a pure donation: There are production and marketing costs. But if you're thinking of giving a child a stuffed animal, or buying yourself a new scarf or piece of jewelry, or looking for authentic wild rice, why not put your dollars to work at the nonprofit? I try to shop my favorite charities first for corporate gifts, showers and weddings, holidays and other special gifting occasions. You'll also have the added advantage that your purchase will be unique — it's unlikely you'll see the same item at the mall.

Be careful, though, of brick-and-mortar stores or even online aggregators who offer products from other countries. Under the guise of helping workers from those countries, you may also be helping put local craftspeople out of business, especially when those stores operate with all-volunteer staff. While well-intentioned, they seriously undercut the market by eliminating costs a homegrown artist producing in the U.S. can't forego. If you want to support local craftspeople (not in this case a charity), shop makers and craft fairs, galleries and state artisan shops.

Leaving a Bequest

It's probably more satisfying to give while you're alive, but you should consider at least a backup charity in your will, in case there are no other living heirs. If you do intend to leave money, consider leaving a percentage of the estate rather than a dollar amount. If the estate is drawn down, a specific amount may mean only the charity gets anything. If the estate has increased, your percentage donation may make a more generous bequest.

It's a good and kind thing to give generously. But it's a prudent and careful investor who offers the most support by choosing the most effective charities.

Danielle L. Schultz, CFP®, CDFA™, is a fee-only financial adviser with Haven Financial Solutions, Inc., based in Evanston, Illinois. She can be reached at www.HavenFinancialSolutions.com.

Company's Products Include Chipsets Used by Leading Cellphone Makers

Qualcomm, Inc.

by Robert Noftz

Editor's note: This issue's First Cut Stock Report — a completed Stock Selection Guide (SSG) and report — is on Qualcomm, Inc. (ticker: QCOM), completed on April 24, 2022. This study was submitted by BetterInvesting member Robert Noftz, from Clyde, Ohio, and a member of the Northwest Buckeye Chapter. First Cut Stock Reports, found in the Find Great Stocks section of the BetterInvesting website, are a valued source of stock ideas and a way to compare your judgments with those of other members. SSGs are available for companies such as Lululemon Athletica, Meta Platforms, Skyworks Solutions and many others. We invite you or your club to provide reports as well. Just click the "Download First Cut Stock Report Template" button on the First Cut Stock Report webpage and follow the instructions.

Discuss why you consider this to be a high-quality growth company that should be investigated further.

The historical sales growth of last five years was 8.9%. The last three years provided an increase of 17.6%. The historical earnings per share growth for the last five years was 217%. A year of negative EPS growth in 2018 and a year of exceptional EPS growth in 2021 contributed to that large increase. Using the last three years of data resulted in a 48.1% increase. The pretax profit margin for the same period was 20.3%; return on equity, 65.68%; debt to capital, 69.2% (2021 it was 61.3%). Quarterly data ending December 2021 showed a change of (14.5%) from the quarter a year ago.

Describe how the company makes money.

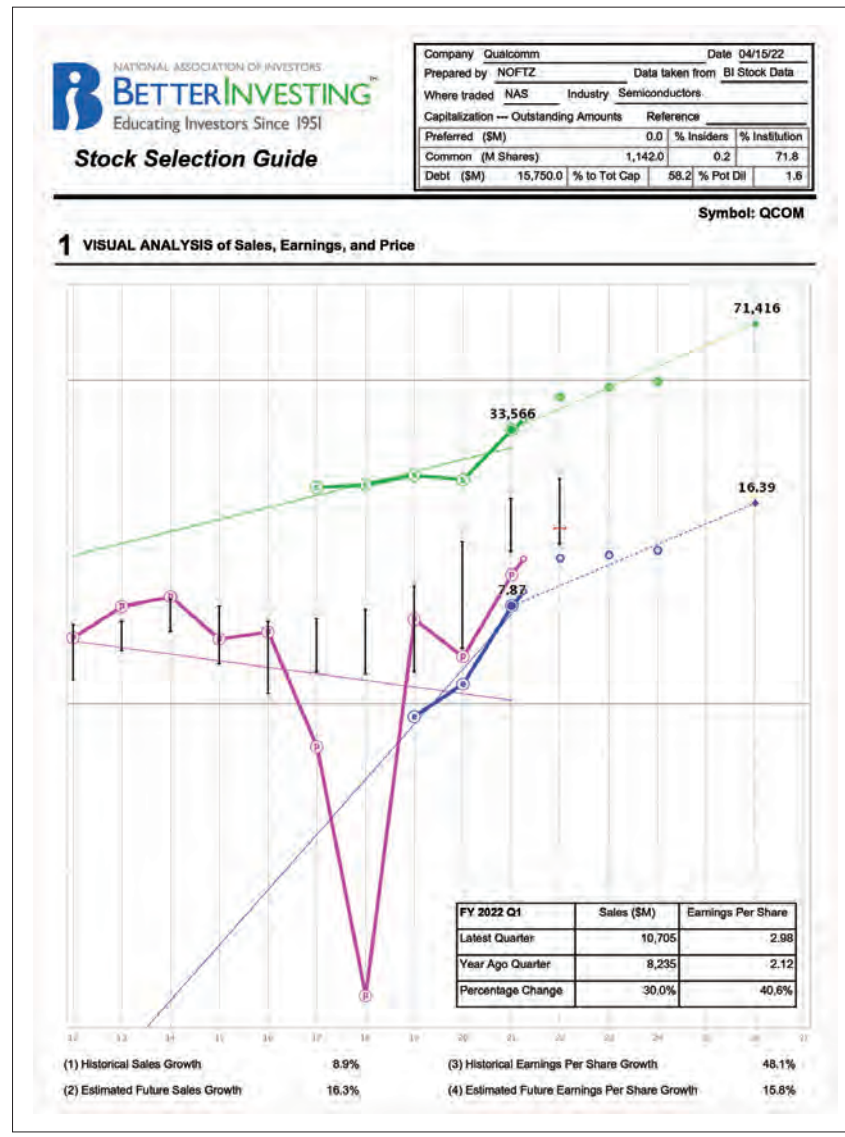
According to Value Line Qualcomm "develops and markets integrated circuits for use in voice and data communications, networking, application processing, multimedia and GPS applications…" According to Forbes, Qualcomm's Snapdragon ARM chipsets are used by the mobile phone providers Motorola, Sony, LG, Xiaomi and Samsung. Qualcomm's website describes them as providers of technology to major automotive companies, among them General Motors.

.

Projected growth rate for sales: 16.3%

Why did you select this rate?

The analyst consensus of 16.3% was used instead of the last five year average of 8.9%. This was based upon the fact that manufacturers have had difficulty getting the semiconductors necessary for their products. Value Line believes the supply chain disruptions will decrease towards the end of 2022. They also expect demand to be robust as 5G networks are deployed.



Projected growth rate for earnings per share: 15.8%

Why did you select this rate?
This is the analyst consensus estimate. It seems more realistic than the numbers obtained using the last few years of data. The negative year in 2018 and the exceptional increase in 2021 made it difficult to come up with something that appears to be a more realistic long-term projection. The analyst consensus is likely closer to reality in the long term.

Projected high P/E: 29.0

Why did you select this value?
This is the average high for the last five years.

Projected low P/E: 12.8

Why did you select this value?
When using the average low of 17.7 for the last five years, it resulted in an invalid buy range. The lower P/E used from 2020 was used. This provided a valid buy range in the SSG. Perhaps it will provide a more reasonable estimate of downside risk as well.

Projected low price: $111.70

Qualcomm, Inc.	
Industry: Semiconductors	
Price at time of study	$136.91
Current P/E	15.7
2021 revenues	$33.6 billion
2021 EPS	$7.87
Pretax profit on sales (five-year average)	20.3%
2021 pretax profit on sales	30.6%
Percent earned on equity (five-year average)	65.7%
2021 ROE	106.3%
Annual dividend	$2.66

Why did you select this value?
That is the number in the SSG from 4B(a).

At the current price, the stock is a:
Buy

At the current price, the upside-downside ratio is: 13.4 to 1

Projected compounded rate of return: 30.8%

Your final recommendation:
At the current price, the stock is selling at the low end of the buy zone. It is considered a buy up to $202.60. According to data on CNBC, the forward P/E is 11. After a correction, the stock was selling for approximately 30% less than its 52-week high of $193.58.

The 13:1 upside-downside ratio should provide a margin of safety if the stock, or the stock market in general, continues to correct. The 30% annual rate of return is double the 15% normally looked for. In addition, the debt to capital has been decreasing for the last three years after reaching a high of 94.6% in 2018. The 14.5% decrease in the latest quarter reported shows that they continue to improve their financial position.

Value Line recently ranked QCOM 1 for timeliness and A+ for financial strength. They provided a low to high 18-month price target range of $143-$311 and a low to high annual total return of 14-25%.

There is much uncertainty in the market. When able, I will continue to buy the stock of this well-run company on any price decreases. Based upon fundamentals uncovered, it appears to be a bargain.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the contributor in his personal portfolio.

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New Mexico Resident's Varied Career Includes Serving in the Peace Corps

BI Member Encourages Hispanic Women to Invest

As told to Angele McQuade by Elsie Sanchez of Albuquerque, New Mexico.

A little about my family and home life: I reside in a two-acre, three-house family compound in the north valley of Albuquerque, New Mexico, with a variety of critters, including roving peacocks, feral cats, rabbits and raccoons that insist on using my large cottonwood tree as their nightly hotel, causing me a degree of consternation.

I have one son, Victor, who I'm thrilled has returned to Albuquerque after 20 years in Los Angeles. I don't see him much, but knowing he's close by is a comfort. Sadly, I lost my only daughter last year due to complications from multiple sclerosis and that's been very difficult for me. I have no grandchildren.

A little about my work life and hobbies: I served 30 years with the U.S. Geological Survey in Albuquerque, then joined the Peace Corps and served terms in Honduras and Uruguay. Then I took a little job in Gallup, New Mexico, as director of the UNM-Gallup Small Business Development Center, which turned into 16 years of rewarding experience helping establish, fund and grow small businesses in the area.

Something I'm especially passionate about: I'm a longtime member of the Hispanic Women's Council (HWC), an all-volunteer nonprofit in Albuquerque, supporting its mission to "promote, support and create opportunities for Hispanic Women." One of HWC's pursuits is providing college scholarships for Hispanic women students. Most are in a STEM track (science, technology, engineering and math) and many graduates are now providing invaluable service in the medical field during this ongoing pandemic.

HWC honors its scholarship awardees at an annual formal event, where members address the scholars. I always speak on the importance of women's financial independence and the need to take finance-related courses, regardless of career track. I also talk about my own investing experiences and the benefits of belonging to an investment club.

My lifelong dream: Learning to swim. I've always been deathly afraid of water and countless swimming lessons haven't mitigated that!

My life philosophy: Solvency is a form of freedom.

How I found BetterInvesting: The Beardstown Ladies book.

A financial favorite: Napoleon Hill's "Think and Grow Rich," the first financial book I bought and read years and years ago. I still have it, dog-eared as it is. "If you can think it, you can achieve it!"

Financial Mentor. Elsie Sanchez often speaks about the value of investing and the investment club experience at events held by the Hispanic Women's Council, a nonprofit organization in Albuquerque, New Mexico.

Advice I'd give to newer investors going through their first down market: Don't panic, stay the course! The pendulum always swings!

What I appreciate most about BetterInvesting: the confidence I've developed in arriving at buying/selling decisions. At 89, my goal is to keep adding to my portfolio to hopefully ensure I can afford decent assisted living quarters (or caregivers) when the time comes — not necessarily a very happy thought, but a reality for sure!

One last thing: My parents were "Depression folks." Although the phrase "pay yourself first" had not yet been coined, I learned early on to do that and continued throughout my working life. In my opinion, the lack of financial literacy education in our country contributes to so many folks suffering from financial instability — even when decent incomes are earned.

Angele McQuade is the author of three books, including "Investment Clubs for Dummies" and BetterInvesting's upcoming new youth investing handbook. She lives near Bethesda, Maryland, where she also writes picture books and novels for children. If you'd like to be featured in a future profile, please contact Angele through her website:
www.angelemcquade.com

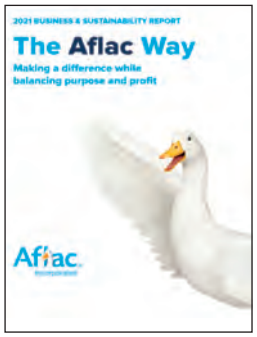
BetterInvesting™

Educating Investors Since 1951

In this section, you will find descriptions of companies that support the BetterInvesting mission. These companies are publicly traded and offer their annual reports free to interested long-term investors. To view or download them, go to the company websites.

Aflac Incorporated (NYSE: AFL)

Aflac Incorporated (NYSE: AFL) is a Fortune 500 company helping provide protection to more than 50 million people through its subsidiaries in Japan and the U.S., where it is a leading supplemental insurer by paying cash fast when policyholders get sick or injured. For more than six decades, insurance policies of Aflac Incorporated's subsidiaries have given policyholders the opportunity to focus on recovery, not financial stress. Aflac Life Insurance Japan is the leading provider of medical and cancer insurance in Japan where it insures 1 in 4 households.

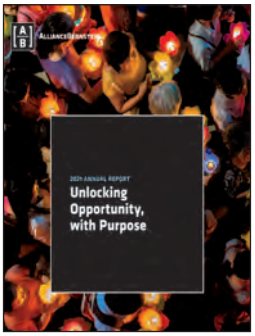


Duke Energy (NYSE: DUK)

Duke Energy (NYSE: DUK), a Fortune 150 company headquartered in Charlotte, N.C., is one of America's largest energy holding companies. Its electric utilities serve 8.2 million customers in North Carolina, South Carolina, Florida, Indiana, Ohio and Kentucky, and collectively own 50,000 megawatts of energy capacity. Its natural gas unit serves 1.6 million customers in North Carolina, South Carolina, Tennessee, Ohio and Kentucky. Duke Energy is executing a clean energy strategy to create a smarter energy future. Duke has goals of at least a 50% carbon reduction from electric generation and net-zero methane emissions from its natural gas business by 2030, and net-zero emissions by 2050 from its electric and natural gas businesses.

AllianceBernstein (NYSE: AB)

AllianceBernstein (NYSE: AB) is a leading global investment-management firm that offers high-quality research and diversified investment services to institutional investors, individuals and private wealth clients in major world markets. We are one of the largest investment-management firms in the world, with more than $700 billion in assets under management. We foster a diverse, connected, collaborative culture that encourages different ways of thinking and differentiated insights. We embrace innovation to address increasingly complex investing challenges. And we pursue responsibility at all levels of the firm — from how we work and act to the solutions we design for clients.

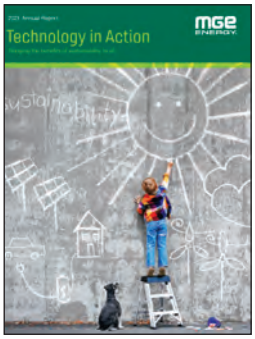


Kellogg Company (NYSE: K)

At Kellogg Company (NYSE: K), our vision is a good and just world where people are not just fed but fulfilled. We are creating better days and a place at the table for everyone through our trusted food brands. Our brands include Pringles®, Cheez-It®, Special K®, Kellogg's Frosted Flakes®, Pop-Tarts®, Kellogg's Corn Flakes®, Rice Krispies®, Eggo®, Mini-Wheats®, Kashi®, RXBAR®, MorningStar Farms® and more. Net sales in 2021 were nearly $14.2 billion, comprised of snacks and convenience foods like cereal, frozen foods, and noodles. With Kellogg's® Better Days ESG strategy, we're addressing wellbeing, climate and food security, creating Better Days for 3 billion people by 2030's end. Visit **www.KelloggCompany.com**.

MGE Energy (Nasdaq: MGEE)

MGE Energy is an investor-owned public utility holding company headquartered in the state capital of Madison, Wis. MGE Energy is the parent company of Madison Gas and Electric Co., which generates and distributes electricity in Dane County, Wis., and purchases and distributes natural gas in seven south-central and western Wisconsin counties. Assets total approximately $2.4 billion. In 2021, revenue was about $607 million. With a commitment to deep carbon reductions, MGE Energy's regulated utility subsidiary, Madison Gas and Electric (MGE), is investing in cost-effective, cleaner energy sources to benefit customers while maintaining its responsibility to provide a safe, reliable and resilient grid.



Safehold Inc. (NYSE: SAFE)

Safehold Inc. is revolutionizing real estate ownership by providing a new and better way for owners to unlock the value of the land beneath their buildings. Through its modern ground lease capital solution, Safehold helps owners of high quality multifamily, office, industrial, hospitality and mixed-use properties in major markets throughout the United States generate higher returns with less risk. The Company, which is taxed as a real estate investment trust (REIT) and is managed by its largest shareholder, iStar Inc., seeks to deliver safe, growing income and long-term capital appreciation to its shareholders. Additional information on Safehold is available at **www.safeholdinc.com.**

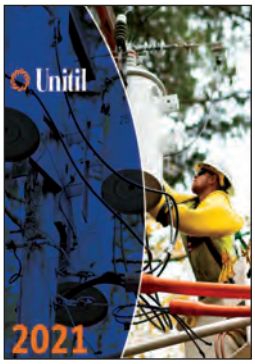
Middlesex Water (Nasdaq: MSEX)

Over a century of knowledge, experience and quality service…

Incorporated as a water utility in 1897, Middlesex Water Company (NASDAQ: MSEX) provides a ful range of regulated and non-regulated water, wastewater utility and related services primarily in New Jersey and Delaware. Middlesex Water engages in collecting, treating, distributing and selling water for domestic, commercial, municipal, industrial and fire protection purposes. Middlesex Water has grown from a single water utility to an enterprise with distinct business operating units meeting a full range of residential, commercial, and municipal water and wastewater needs.

Unitil (NYSE: UTL)

Unitil Corporation ("Unitil") provides energy for life by safely and reliably delivering natural gas and electricity in New England. We are committed to the communities we serve and to developing people, business practices, and technologies that lead to the delivery of dependable, more efficient energy. Unitil Corporation is a public utility holding company with operations in Maine, Massachusetts and New Hampshire. Together, Unitil's operating utilities serve approximately 107,700 electric customers and 86,600 natural gas customers. For more information about our people, technologies and community involvement please visit: **unitil.com/our-company**.



National Retail Properties (NYSE: NNN)

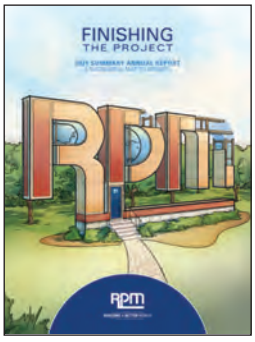
National Retail Properties (NYSE: NNN) has a long, successful track record, partly because half of our associates have been with the company over 10 years. No word better describes NNN than CONSISTENT. A consistent focus on single tenant retail properties; consistency of people and culture; consistently increasing the annual dividend for 32 consecutive years; and consistent conservative balance sheet management. This disciplined, consistent execution has delivered elite long-term total shareholder returns that beat the industry averages. NNN owns 3,271 freestanding retail stores in 48 states operated by over 370 tenants in 37 different lines of trade. Learn more at **www.nnnreit.com**.

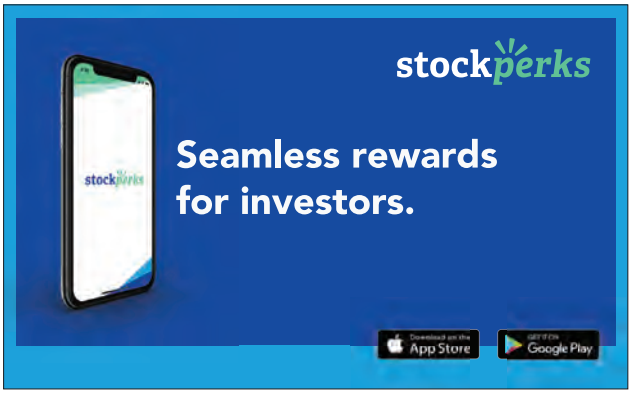
York Water Company (Nasdaq: YORW)

The York Water Company is America's oldest public company and has the longest consecutive dividend streak in all of America, with dividends being paid since our incorporation in 1816. The York Water Company is committed to providing our customers with safe, dependable, high-quality water, wastewater, and related services that meet or exceed customer expectations at reasonable rates, while earning a fair return for our shareholders. We serve 51 municipalities in York, Adams, and Franklin Counties in Pennsylvania, USA.

RPM (NYSE: RPM)

Rust-Oleum. DAP. Zinsser. You'll find our consumer paint, coating and sealant brands on nearly every garage or basement shelf in America. Our industrial brands are used on marquee structures worldwide — from the Eiffel Tower to the World Trade Center. RPM (NYSE: RPM) is a $6.1-billion, multinational company owned by 820+ institutions and 194,000+ individuals. Investors have benefited from RPM's ability to outperform the S&P 500 by 33% over the past 10 years, increase its cash dividend for 48 consecutive years and provide a ~1.9% dividend yield. RPM ranks in the Top 200 in shares held by BetterInvesting clubs.





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Proceed Carefully, as Portfolio Withdrawal Errors Are Difficult to Correct

Of Stock Transfers, Departing Members and Taxes

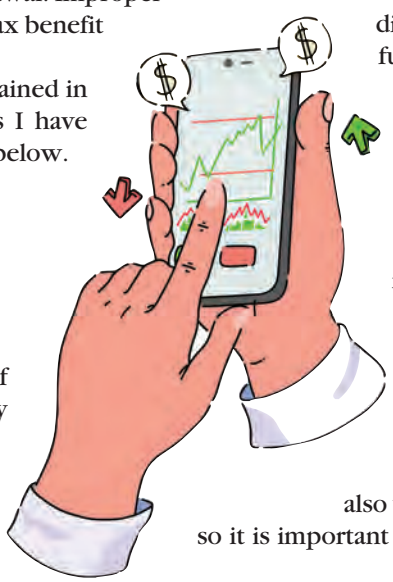
by Robert Shaw, vice president, BetterInvesting Southeast Michigan Chapter

For clubs wanting to allow withdrawing members to pursue stock transfers as a method of withdrawal, they should ask – is the potential tax benefit worth the extra trouble?

This is written as a layman's primer on investment club stock transfers instead of cash. It is not legal advice and is intended solely for educational benefit. *(For more on this topic, see Page 18.)*

Clubs should seek competent advice prior to initiating a stock transfer for a club member withdrawal. Improper withdrawals can eliminate any potential tax benefit that may be sought by such withdrawals.

For some examples of tax pitfalls contained in the Internal Revenue Service regulations I have included portions of IRS Publication 541 below.



IRS Publication 541 (Rev. March 2021)

https://www.irs.gov/pub/irs-pdf/p541.pdf
Partnerships — Page 6

"Partner's Basis for Distributed Property
Unless there is a complete liquidation of a partner's interest, the basis of property (other than money) distributed to the partner by a partnership is its adjusted basis to the partnership immediately before the distribution.

Complete liquidation of partner's interest.
The basis of property received in complete liquidation of a partner's interest is the adjusted basis of the partner's interest in the partnership reduced by any money distributed to the partner in the same transaction.

Basis divided among properties.
If the basis of property received is the adjusted basis of the partner's interest in the partnership (reduced by money received in the same transaction), it must be divided among the properties distributed to the partner. For property distributed after August 5, 1997, allocate the basis using the following rules..."

(*Too many details to repeat here; read the document*)

Using Club Accounting Software

If you are using club accounting software, the software should be able to calculate the withdrawal paperwork correctly — if your withdrawal has been done correctly. This can be a pretty big IF. Should you have errors in your withdrawal, fixing them after making the withdrawal is difficult if not impossible.

If you have done it incorrectly you will likely have issues that will need to be resolved. It is better to resolve these issues before finalizing the transfer.

You do NOT want to transfer anything to anyone until you know it has been recorded in your accounting software correctly.

To add to these directions (and sub-directions not shown) you must be careful in designating the lots you transfer. Only transfer shares that have gone up in value. If the club has shares that have losses it will be to the club's benefit for the club to realize these losses.

If you are doing a partial withdrawal refer to the first paragraph above; there may be a benefit to the club even though there is no benefit to the withdrawing member.

You need to check with your broker first to make sure you'll be able to identify shares. Some brokers also won't let you transfer fractional shares, so it is important to ask about that also.

> **"If the club has shares that have losses it will be to the club's benefit to realize those losses."**

Review your buy/sell transactions to make sure the shares you choose are truly available as some may have been sold in earlier transactions. Compare the cost basis and other details of each lot of each stock you own to make sure there are not other cost-basis issues in your accounting that you need to address before you can enter a correct withdrawal. Then be sure to review and reconcile the cost basis for the shares to be transferred.

Does your accounting software cost basis agree with the broker's cost basis?

Continued on Page 46

Preferred Applicants Should Have Background in Social Media, Identify With Younger Investors

NAIC Board of Directors Seeks New Member

The National Association of Investors™ (NAIC®), doing business as BetterInvesting™, one of the oldest and most prestigious non-profit organizations dedicated to investment education, invites the nominations of, and applications from, candidates to fill a vacancy on its nine-member Board of Directors.

BetterInvesting supports investment clubs and numerous individual members in the U.S. through unbiased stock investing classes, *BetterInvesting Magazine* and a suite of online tools designed for use by members to analyze and evaluate publicly-traded stocks.

The successful director candidate should possess significant experience in financial services, financial publishing, investor relations or personal finance, as well as be an exceptionally strong communicator and influencer who knows how to partner with other influencers, companies and personalities that drive the personal finance world. Among other attractive qualifications are:

- **(1) social media influencing** and content production;
- **(2) the ability to identify**, relate and communicate with younger and relatively inexperienced investors;
- **(3) competence in analyzing data** to spot trends, opportunities and concerns of members/customers; and
- **(4) experience recruiting** and retaining members/customers.

An Advocate for the BetterInvesting Mission

The candidate should be prepared to advocate for the mission, investment principles and philosophy of BetterInvesting. Central to the mission is understanding how BetterInvesting relates to its members, its volunteers, the investment community, the media and regulatory agencies. The successful candidate's approach to investing should align with the organization's, which principally rests on

- **(1) regular investing**,
- **(2) reinvestment of earnings**,
- **(3) a focus on high-quality growth stocks**, and
- **(4) portfolio diversification**.

Regular meetings of the board typically take place four times a year, in addition to committee assignments and special meetings.

Most years, two meetings are held virtually and two meetings are conducted in-person at various U.S. locations, including the site of the organization's national convention. Interested parties may inquire at

boardopening@betterinvesting.org

MEMBER VIEWPOINT

Continued from Page 45

For instance, stock-split dividends received as shares will change the cost basis of the previously purchased shares.

The Next Steps

When this reconciliation is complete, and you have identified the shares, you are ready to tell the broker what shares to transfer.

You need to clearly specify the shares to be transferred in order to avoid mistakes.

As stated above you may wish to check with your broker before the transfer in order to affirm that their procedures allow for this transfer to be completed as you have configured it.

The information I have says it's best that the transfer takes place within two days of the valuation date. I understand that this is to help prevent large share price changes between the valuation date and the withdrawal date, which are technically the same date.

It is best if the above steps are all reviewed and completed prior to initiating the transfer.

Note: It will likely be helpful if the receiving account is maintained at the club's broker. This will help prevent delays in making the transfer. When the transfer is complete you should review the remaining shares to be certain the broker and your club accounting software still agree on the cost basis of any remaining shares.

Finally, are you sure you want to impose the above extra work on your treasurer? After all, good treasurers can be hard to find.

Find Out More

For more information on this subject, I suggest you read Russell Malley's article, "Using Appreciated Stocks to Fund club Withdrawals," on Page 20 of the October 2021 issue of *BetterInvesting Magazine*.

Robert Shaw is a Southeast Michigan Chapter director and 13-year member of BetterInvesting.

To Sign Up for Ponder and Plunge, a New Member Bought Up a Departing One

Indiana Club Saw 91 Women Join Over 50 Years

by the members of Ponder and Plunge of Muncie, Indiana

It's not Plunder and Lunge. It's Ponder and Plunge, a woman-only stock club in Muncie, Indiana. The name says it all, with emphasis on the Ponder part, and how the club celebrated 50 years of stock investment education.

The investment club was founded in 1971 by four accomplished Muncie women, Esther Ball, Thelma Hiatt, Martha Wickham and Aline Emens. All of these women began as teachers and had remarkable careers. Esther Ball served the war effort as a cryptographer, for example. All were associated with Ball State University, in Muncie; all were long-time members of the club (16-19 years); all were active volunteers in the community; and all lived into their nineties.

The purpose of Ponder and Plunge (or P & P) was to provide women with a forum to learn about stocks and stock investment strategies and to "try out" the market while sharing the risk. More importantly, it allowed the women to make stock investment decisions, affording them confidence and independence.

Since the club bylaws limited the membership to 20, a new member could only join upon the resignation of a current one. Thus, each of the 91 members over the 50 years could trace her lineage. Ten were members of Ponder and Plunge for 20 years or longer, including Kate Pingry, 20 years; Nancee Kinghorn, 21; Fidelia Risk, 26; Mary Ann Olinger, 27; Marge Ziegler, 29; Phyllis Yuhas, 30; Ruth Covalt, 33; Jeanne Brenneman, 34; Margaret Bumb, 35; and Jo Baur, 41.

Ponder and Plunge was an unusual club as all members had equal shares. To join, a potential member could buy-in for the amount of the per member share calculated at the end of the month. This per member share amount was kept at roughly $5,000, to make the buy-in relatively affordable and still have a financial stake in the club. If a member left, she would be paid out at what the current per member share value was after 60 days.

While the club's investments usually beat the Dow Jones Industrial Average percentages, it kept the per member share low by providing distributions to the members. Since 1987, it provided distributions averaging $1,100 per year per member, while the dues for the club are $300 per year, along with one's annual membership in BetterInvesting.

What was one of the most profitable investments? During our January 2013 meeting, we took the opportunity to buy 10 shares of Apple at $530 per share due to a recent dip in price. At the February meeting, we bought 15 shares at $445 per share. It was a big money-maker, as the stock split by a factor of seven in June 2014 and by a factor of four in August 2020. One of our unfortunate investments was RIG, a large drilling company named TransOcean Oil that was on an upward trajectory. But their rig, Deep Water Horizon, had one of the largest marine oil spills in the Gulf of Mexico in 2010. The ladies sold their 150 shares within a week after the spill for $72.40 and minimized their loss to less than $900.

Ponder and Plunge of Muncie, Indiana. Pictured are Jill McCarthy, Patricia Lang, Janice Engstrom, Joan Anderson, Angela Lykins, Beth McCrady, Connie Ruebel and Sue Brooke.

Membership numbers stayed at about 17 until 2019. When COVID-19 hit, P & P met via Zoom but members thought it difficult to recruit new members when we couldn't meet in person. Many longer-term members decided to bow out of the club. By fall 2020, P & P was down to five stocks and eight members. We regrettably decided it was time to dissolve the partnership.

Some of the members reflect on what the investment club has meant to them. From one of the newer members Jill McCarthy: "I am deeply grateful for the vast knowledge and skills I gained on investing and teamwork in my three years with this club."

From Janice Engstrom Feldheiser, "In my 20 some years, I not only made such good friends but money, too. We debated principles, learned together, taught each other, and came up with investment ideas. I learned there is power in collaboration and exchanging knowledge." Remarkable women — all 91 of them.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the contributors in their portfolios.

Using This Section

In this section readers seeking to network with other long-term investors will find resources for information about programs in their communities. Meetings provide investment education for interested individuals of all ages and experience levels.

We've listed each BetterInvesting chapter along with the chapter's website, contact information and whether the chapter offers:

- **NEW** – new meetings listed at the chapter website
- **MC** – model club meetings for learning about club operations and stock selection
- **CV** – club visits during which a chapter volunteer can answer questions about operations and portfolio management
- **SSG** – upcoming classes on the Stock Selection Guide and related stock study forms
- **SOFT** – upcoming seminars on using computers and BetterInvesting-related software
- **TREAS** – upcoming classes for club treasurers and those interested in club accounting
- **CG** – Computer Group

Upcoming Investors Fairs, Educational Fairs, annual meetings and other major events are listed at the end of this section. For current details on any meeting, go to the relevant chapter's website.

We urge investors to contact the chapter for full details about any event and to learn of any changes in time or location.

The regional programs described in this section are the heart of BetterInvesting's educational effort. Some request a modest fee to defray costs, while others are free.

BetterInvesting's objective is to help people learn about long-term investing in an atmosphere in which they are free from pressure to buy anything.

CHAPTER CONTACTS

Contact your local chapter for details such as changes in time or location. You may also go to the BetterInvesting website at **www.betterinvesting.org** and visit **My Chapter**.

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WYOMING

See Colorado, Rocky Mountain

The **BetterInvesting™ Online Chapter** offers support both to individual members and clubs without a local chapter and to the public. The chapter's leadership provides a variety of high-quality programming and support.

The leadership of the **Online Chapter** is Bob Houle, president, president@online.betterinvesting.net; Susanne Koster, OLC Satellite Coordinator, satellite_coordinator@online.betterinvesting.net; Howard Johnson, Club Support/ Visit Coordinator, club_support@online.betterinvesting.net; Chris McCarron, Education Programs, education@online.betterinvesting.net.

Visit the **Online Chapter** at **www.betterinvesting.org/online**
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ANNUAL MEETINGS

ALABAMA

Emerald Coast
6 p.m., Aug. 9, Online
Annual Meeting and Election. Chapter annual meeting and election of directors and officers will be held online at Go-to-Meeting (GTM). Register by using the GTM online code: https://meet.goto.com/116276981.
Or dial in using your phone in the United States: 408/650-3123, access code:116-276-981.
www.betterinvesting.org/alabama

NATIONWIDE

Online Chapter
8 p.m. – 9:30 p.m., Aug. 25, online
Annual Membership Meeting and Education Event. Election of volunteer directors and featuring an investor education program led by Scott D. Horsburgh, CFA, "Repair Shop: Behind the Scenes: Lessons Learned. "This event is open to all BI members and their guests. Cost: free. Registration information on the OLC webpage, Online Chapter Events. See website below for additional information.
www.betterinvesting.org/online

OHIO

Northeast
10 a.m. – 11:15 a.m., Sept. 10, online
Annual Meeting, Election and Educational Event. Election of chapter directors and recognition of anniversaries. Speaker: Suzi Artzberger, BetterInvesting director of Online Stock Tools Suite, Information Technology and Data, on Analyst Stock Estimates: Know All the Angles! What is behind the analyst estimates? How much can the analysts vary? These questions will be explored to ensure that your BetterInvesting Stock Selection Guide projections are as informed as possible. Cost: free.
Contact: education_programs@neohio.betterinvesting.net.
Register at website below.
www.betterinvesting.org/neohio

OREGON

Portland
9 a.m. – 11:30 a.m., Sept. 17, online
Investor Education Event and Annual Business Meeting. Don't miss Bakul Lalla's presentation on using his Financial Ratio's Checklist for BetterInvesting Investors. Bakul uses the SSGPlus in conjunction with the Morningstar website to gain additional financial quality insights before adding a company to his portfolio. Bakul's complete checklist consists of 10 financial ratios (which includes Bakul's three favorites) that are found on just four Morningstar screens. The education segment will be followed by a short chapter business meeting. Beginners and those with experience using the BetterInvesting Stock Selection Guide (SSG) are welcome.
Cost: free and open to the public.
Register: https://bit.ly/PDX_BI_Annual
Contact: John Radford, email contact@portland.betterinvesting.net or see our website below (local events) for details.
www.betterinvesting.org/portland

INVESTOR EVENTS

GEORGIA

Georgia
8:30 a.m. – 4:15 p.m., Aug. 20
The Morrow Events Center
1180 Southlake Circle, Morrow
Eighth Annual Investors Education Fair. You will have the choice of five sessions throughout the day to attend. Speakers are Cy Lynch from Atlanta, BetterInvesting Director of Information Technology Suzi Artzberger, Christi Powell from the Oklahoma Chapter, Robin Ware from the North Florida Chapter, and Craig Braemer from the San Francisco Chapter, all accomplished presenters. Former BetterInvesting Board Director Julie Werner will kick things off at 9 a.m. to get us motivated to continue to practice BetterInvesting procedures and methodologies. Lunch will be provided. Cost: $40, members; $45, nonmembers. For more information and to register, see website below. For more information, contact:
contact@georgia.betterinvesting.net.
www.betterinvesting.org/georgia

MICHIGAN

Southeast Michigan
8 p.m., July 21, online
Hey SEMi, How Do You…? This is an open Q&A session for chapter members with questions relating to BetterInvesting clubs, methods and software. These sessions will be held in every odd-numbered month, on the third Thursday of the month, at 8 p.m. To register send your request to: https://tinyurl.com/2u7ab8fj.
www.betterinvesting.org/semich

OHIO AND OREGON

OKI Tri-State and Portland
July 20, online
Online Webinar sponsored jointly by the Portland Chapter and OKI Tri-State Chapter.
July 20, 5:30 p.m. – 6:30 p.m. PDT
Online Value Line: This webinar is a tour and overview of the digital page presentations found in the online Value Line.
Presenter: Marty Eckerle has been a member of BetterInvesting since 1995. He joined the Cincinnati Model Investment Club in 2003 and joined the Ohio-Kentucky-Indiana (OKI) Tri-State chapter board in 2005. He has presented classes that focus on the Value Line survey and the Stock Selection Guide. Marty lives in Lawrenceburg, Indiana, and is a passionate supporter of BetterInvesting. Cost: free. Open to the public. Beginners and those experienced with Value Line and BetterInvesting are welcome.
Register: https://bit.ly/BIValueLine.
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www.betterinvesting.org/okitri
www.betterinvesting.org/portland

PENNSYLVANIA

Philadelphia
7:30 p.m. – 8:30 p.m., online
Fall Webinars:
Sept. 21: Kathleen Richards — "How to Build Wealth"
Oct. 27: Bill Wagner — "Cryptocurrencies: the Good, the Bad and the Ugly"
Nov. 16: Gary Ball — "Investment Strategies Before and After Retirement"
Register at website below. Cost: free.
Contact: contact@philly.betterinvesting.net
www.betterinvesting.org/philly

Philadelphia
9 a.m. – 3 p.m., Nov. 19
Giant Food Store, 315 York Road
Willow Grove
Introduction to BetterInvesting's Stock Analysis: by Gloria Mankonen. Cost: $15.
For information and registration, contact: Gloria Mankonen, 215/796-1214 or contact@philly.betterinvesting.net.
See website below for additional information.
www.betterinvesting.org/philly

Reviewing Stock to Study, Undervalued Selections

Synchrony Financial, Inc.; Merck & Co., Inc.

by Kevin Lamiman, Contributing Editor

STOCK TO STUDY

Synchrony Financial, Inc.
Ticker: SYF

Company description: Synchrony Financial, spun off from GE's retail financing business, is the largest domestic provider of private-label credit cards, as measured by outstanding receivables and purchasing volume. Synchrony partners with other firms, marketing credit products through their physical stores, websites and mobile applications. Synchrony has three segments: retail card (private-label and co-branded cards); payment solutions (promotional financing for large-ticket purchases); and CareCredit (elective health care procedure financing).

Price at time of selection: $27.22
High price during past five years: $52.49
Closing price 5 years later: $34.10
Total return at 5-year price (including dividends): 41.0%
S&P 500 5-year total return: 62.9%
Value Line long-term earnings growth estimate when featured: N.A.
Consensus long-term earnings growth estimate when featured: 8.9%
Five-year sales growth rate: (1.8%)
Five-year EPS growth rate: 18.8%
Five-year pretax profit on sales: 24.5%
Five-year return on equity: 19.2%

Comment: A stable national economy and anticipated higher interest rates contributed to Synchrony's selection. The five-year total return of 41.0% fell below the Stock to Study goal of doubling over that time span. At the five-year high of $52.49 on Oct. 19, 2021, however, the total return would have been 117.1%.

UNDERVALUED

Merck & Co., Inc.
Ticker: MRK

Company description: Merck makes pharmaceutical products to treat conditions such as cancer, infections and cardiometabolic disease. Within cancer, the firm's immuno-oncology platform is growing as a major contributor to overall sales. The company also has a substantial vaccine business, with treatments to prevent hepatitis B and pediatric diseases as well as HPV and shingles. Merck also sells animal health-related drugs. Close to half of the firm's sales are generated in the United States.

Price at time of selection: $78.08
High price during past 18 months: $94.92
Closing price 18 months later: $93.83
Total return at 18-month price (including dividends): 27.2%
S&P 500 18-month total return: 8.4%
Value Line long-term earnings growth estimate when featured: N.A.
Consensus long-term earnings growth estimate when featured: N.A.
Most recent quarter sales growth: 31.6%
Most recent quarter EPS growth: 36.0%

Comment: The strength of results from its cancer therapy Keytruda and spinning off certain noncore, low-growth products into a new corporation contributed to Merck's selection. Its May 23 total return of 27.2% surpassed the goal for an Undervalued Company — a 20% increase over 18 to 24 months. At the 18-month high of $94.92 on May 23, 2022, the total return would have been 28.7%.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recomended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer or contributors in a personal portfolio or those of their clients.

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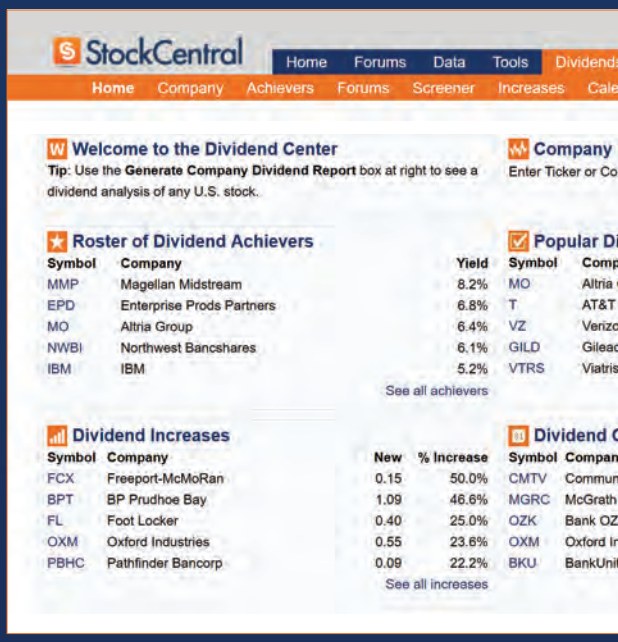
The New StockCentral Dividend Center

Featuring a selection of data and tools to help fundamental investors identify opportunities in dividend-paying stocks.



StockCentral Dividend Center Features Include...

A calendar of recent and upcoming dividend payments

A list of companies that have recently increased their dividends

A dividend screener, and the Roster of Dividend Achievers

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